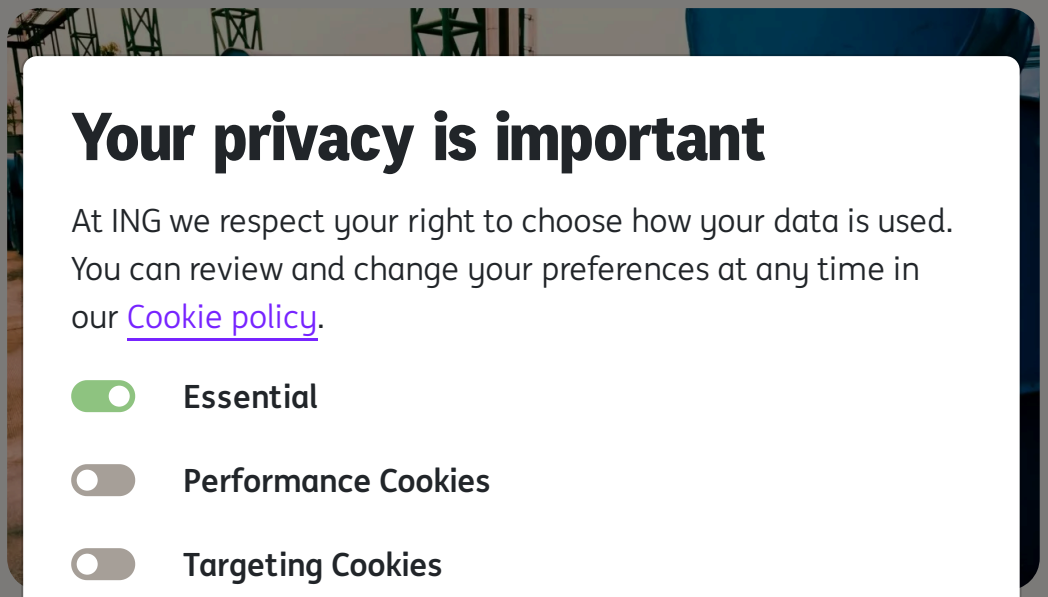
Oil prices edged higher this morning after falling below $90/bbl yesterday, supported by lingering US-Iran uncertainty despite bearish inventory data

Ewa Manthey and Warren Patterson



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E uncertainty persists

Oil prices edged higher in early trading today after falling below $90/bbl yesterday. While expectations of improving Middle Eastern supply availability and bearish US inventory data have weighed on the market, uncertainty around the US-Iran conflict continues to provide some support.

US inventory data added to the bearish tone. API figures showed crude stocks increasing by 9m barrels last week, compared with expectations of a draw of around 0.6m barrels. Inventories at Cushing rose by 182k barrels, while gasoline stocks were broadly

unchanged and distillate inventories increased by 1.5m barrels. Attention now turns to official EIA data due later today.

The latest EIA outlook also points to continued growth in US supply. The agency marginally lowered its 2026 crude production forecast to 13.86m b/d, still around 200k b/d higher year-on-year, while its 2027 forecast remains at 14.3m b/d, implying growth of roughly 440k b/d. US petroleum demand is expected to remain broadly flat at 20.6m b/d this year before increasing to 20.9m b/d in 2027. The EIA also raised its gasoline and diesel price forecasts for next year, reflecting continued tightness in fuel markets.

There are also signs that Middle Eastern producers expect supply conditions to improve. ADNOC has reportedly reduced the premium f
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disruptions leave the market vulnerable to renewed upside.

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Metals – Gold recovers as physical demand provides support

Gold edged higher in early trading on Wednesday after coming under pressure from a stronger dollar and a sharp rise in US Treasury yields. Hotter-than-expected US inflation data has reinforced expectations that the Federal Reserve could raise rates again in December, creating another near-term headwind for the precious metal.

However, gold continues to find support around $4,000/oz. Central-bank purchases and firm Asian physical demand are helping

cushion the impact of tighter monetary policy expectations. While uncertainty over the Fed's next move could keep prices volatile in the short term, underlying demand remains supportive.

Meanwhile, speculative positioning across base metals remained subdued. The latest COTR data showed net bullish positions in copper falling by 1,094 lots to 34,449 lots as of 6 November. Aluminium net longs declined by 430 lots to 86,442 lots, driven largely by a 10,218-lot increase in gross shorts. Zinc saw a further reduction in bullish positioning, with net longs falling by 463 lots to 27,361 lots, the lowest level in more than a year.

Commodities Feed

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The dollar is trading close to the year's highs after US inflation came in hot for the third month in a row and the Fed's Chris Waller threatened to vote for a 50bp rate hike in December. Bearish yield curve flattening is typically good for the dollar and bad for procyclical currencies, as the monetary brakes are applied. Expect the dollar to hold gains today

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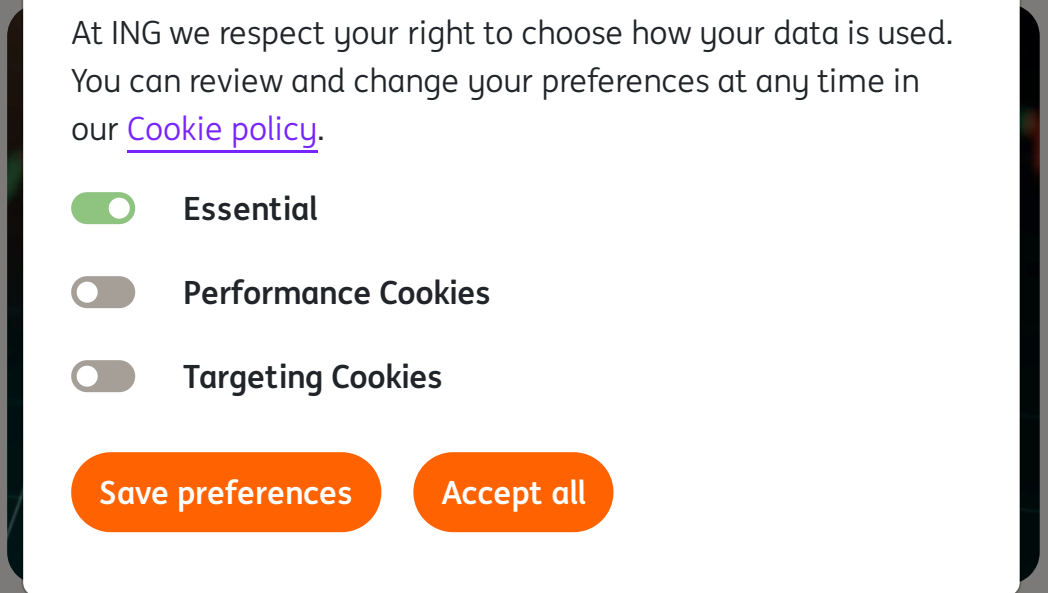

We're seeing the US yield curve bear flatten, and that's a dollar positive

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USD: Big moves in short-dated rates

The Fed's Chris Waller tossed a hawkish grenade into money markets early yesterday with his threat to vote for a 50bp rate hike at the 9 December FOMC meeting. He conditioned this on the October CPI data coming in hot for the third month in a row, which it subsequently did. The comments and the CPI print contributed to a 20bp rise in short-dated Treasury yields and a 7bp flattening in the 2-10 year curve. The case is increasingly building for the Fed to take rates into restrictive territory to slow aggregate demand and bring inflation back to target. That has been the stated aim of Fed

Chair Kevin Warsh since his first FOMC press conference in June. While Waller's suggestion of a 50bp hike in December may be too aggressive for many of the FOMC voters who favour gradual tightening, his comments keep alive the prospect that the Fed needs to hike three more times.

What does this mean for FX? Bearish flattening of the US yield curve as the Fed takes rates into restrictive territory is normally good for the dollar against activity currencies. Here, activity currencies underperform as the world's most important central bank wants to slow aggregate demand. We did kind of see that price action yesterday, with the Norwegian krone and Swedish krona underperforming in a strong dollar environment, although t
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resistance at 102.85/103.00 sooner rather than later.

Chris Turner

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EUR: Holding support at 1.11

A high technical level at 1.1110 is currently providing the floor for EUR/USD. This marks the 50% retracement of the 25 March to 26 Jan rally and is probably a good level for speculative accounts to book some profits on short EUR/USD positions. But the case for a bounce from this support region is weak. Yes, it looks very likely that the ECB will match a Fed hike in December, but the case for an extended ECB tightening cycle is far weaker than that of the Fed. And despite seasonal trends normally being bullish for EUR/USD in

December, we instead think a hawkish Fed will be the dominant theme into year-end and EUR/USD will at some stage want to press the lower end of a 1.10-1.15 range.

The eurozone calendar is quiet today, but a few more ECB speakers will likely prove supportive of a hike to 2.75% at the 17 December meeting. Elsewhere, today's national strike in Spain will only remind investors of the political challenges Europe faces later this year and into next.

Expect EUR/USD to trade well within a 1.1140-1.1200 range today.

Chris Turner

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through resistance at 159, but we increasingly think investors will be looking to acquire cheap yen should USD/JPY push above 160 again.

Chris Turner

CEE: It's all about gas

Hungarian inflation remains benign despite headline CPI rising to 2.0% in October. The increase was largely driven by fuel prices, while core inflation remained subdued at 2.1%, with no convincing signs of second-round effects. The bigger test will come during the winter repricing season as higher energy costs feed through. We expect inflation to reach 3.0% in December and average 3.4% in

2027. For the National Bank of Hungary, inflation already provides room for easing, but global risks remain the key constraint. We expect rates to stay at 5.50% through year-end, with further cuts more likely in the second half of 2027.

In the Czech Republic, headline inflation was confirmed at 2.4%, while core inflation remained unchanged at 3.1%, one-tenth of a percentage point below the Czech National Bank's forecast. This does not significantly alter the outlook for the CNB. Both our projections and those of the CNB suggest that headline inflation will continue to rise, heading toward 3% in December and approaching 4% in January and February due to new-year repricing and base effect. Subsequently, inflation should begin to d
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struggled to move lower. Arguably, gas has greater importance to the CEE region, particularly ahead of winter.

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Consequently, despite the temporary relief in the market driven by falling oil prices, we view the global environment as remaining challenging for the CEE complex, and we maintain our view of higher levels in EUR-cross pairs, as we have noted in previous days.

Frantisek Taborsky

FX

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US Treasury bonds were quick to sell off as US CPI surprised to the upside. We think EUR and GBP rates should be wary of blindly following US inflation prints, as the economic backdrop differs significantly. We challenge the market's assumption that the ECB and Bank of England should automatically follow a more hawkish Fed

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Impact from hot US inflation was amplified by Fed comments

An unpleasant US inflation surprise for rates, taking the 10Y UST yield right back to 5%, is a justified move in our view. A core CPI reading of 0.3% MoM annualises to a yearly inflation number well above 3% and far from the Fed's target. Add additional uncertainty from energy prices and AI investments, and markets are right to be nervous. Last week's solid payrolls report also gives little reason for the Fed to choose a more dovish path for now.

Following on from Fed Governor Chris Waller's comment that he backs a 25bp hike in December and could opt for a 50bp hike, Treasury yields pushed even higher, with the 10yr up 6bp and 2yr up 13bp since before Waller's comments. Markets are now more than fully pricing in a 25bp hike in December, in line with our own forecast, versus 20bp from before Waller's comments.

Nonetheless, the hopes of a Middle East de-escalation are pulling energy costs lower, with retail gasoline prices now below $4/gallon for the first time since mid-July. This will certainly help give a subdued November inflation print, but we won't get that until the day after the December FOMC meeting. The Fed may get a sneak peek, and that should give it the confidence to only raise rates by 2

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more exposed to energy prices and the US to AI-related growth. A tight correlation between US and European rates is warranted if driven by oil as the common denominator, but less so if triggered by macro data.

In addition, higher US rates imply tighter financial conditions for Europe, which means the ECB or Bank of England may not need to act as aggressively as currently priced. Many ECB speakers have indeed made the link between higher longer-dated interest rates and the reduced need to increase policy rates. In other words, markets are already doing the tightening. We therefore prefer to

focus on European inflation data and not get carried away by US CPI surprises.

Wednesday's events and market views

A relatively light data calendar. A US holiday also means trading could be quiet. More interesting might be the various ECB speakers lined up, including Cipollone, Kazaks, Nagel and Lagarde.

The UK will sell £1bn of Gilts, while Germany will auction €2.50bn in total across 30y and 21y Bunds.

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2026 has been a year of slowing growth and increasing divergence within China's economy. We saw the gap between external and domestic demand, as well as between the new economy and the old economy, widen significantly. Here, we look ahead to the key questions facing China in 2027

Lynn Song

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1) Will China's growth target be lowered again?

Despite a growing emphasis on the quality of growth rather than just the pace, China's annual economic target-setting exercise in March remains one of the year's most important events. The GDP growth target and fiscal quotas tend to determine the level of policy support needed in the year ahead.

China very rarely misses its growth target. Since 1991, it has fallen significantly short of target only once – after the widespread pandemic lockdowns in 2022.

In 2026, lowering the growth target from “around 5%” to 4.5-5.0% set the stage for slower activity and less urgency for stimulus than in previous years. We expect the target to be achieved, but growth will likely be toward the low end of the range.

The key question for 2027 is whether we’ll see the growth target soften further. China’s economy has seen growing imbalances over the past year. Next year’s growth will rely heavily on external demand and new-economy drivers. Uncertainty about whether external demand and the AI-driven tech capex boom can continue could affect overall growth.

We expect a slight softening of the growth target to “around 4.5%”. This would allow for decent policy flexibility while keeping the long-

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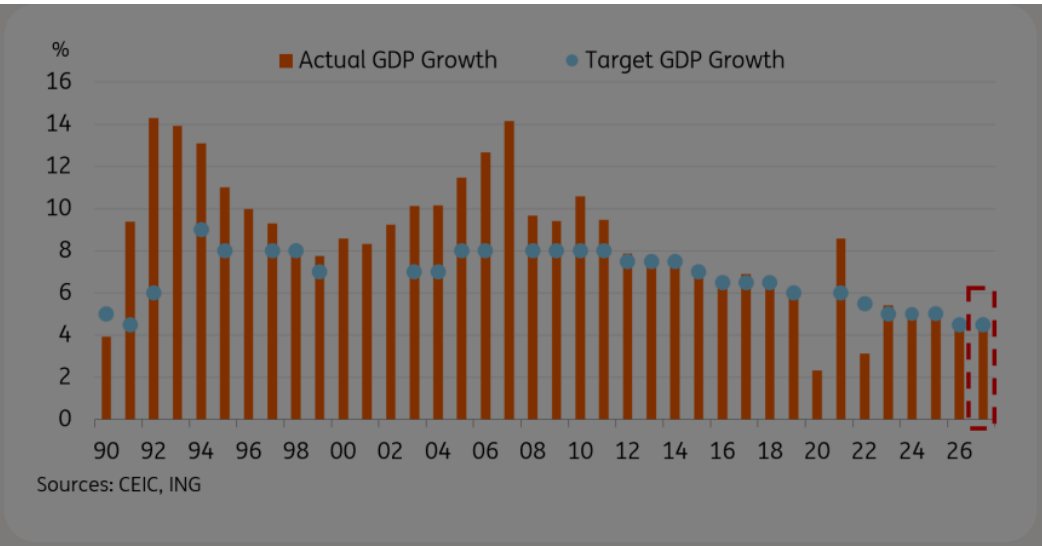
China's growth target may be adjusted to "around 4.5%" in 2027



2) Will external demand and tech drive growth again?

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Second, uncertainty could return in 2027 after what has been a relatively calm year in terms of trade developments following a roller-coaster 2025.

- The China-US trade truce at the time of writing is set to expire in January 2027. While our base case is a further extension of this agreement, risks of re-escalation can't be ruled out, particularly as China's trade surplus widened 12% YoY to $233.8bn through the first three quarters of 2026. The 'blue wave' election outcome in the US could lead to gridlock and prompt US President Donald Trump to focus on areas where he can exercise executive power, such as trade policy.

- Possible trade tensions with the EU are also worth considering. ASEAN has overtaken the US as China's largest export destination. The EU remains second, representing 14-15% of China's total exports. China's trade surplus with the EU surged 26.1% YoY to $277.4bn in the first three quarters of 2026. After trade talks in October, China and the EU agreed to a 16-point plan to improve trade ties. The plan includes a cap on exports of hybrid vehicles into the EU at 2025 levels. Almost immediately, calls emerged to extend the quotas to other industries. Almost immediately after, there were additional calls to extend these quotas to other industries. While we believe there's plenty of room for win-win cooperation, there's also risk of trade friction increasing in the year ahead.

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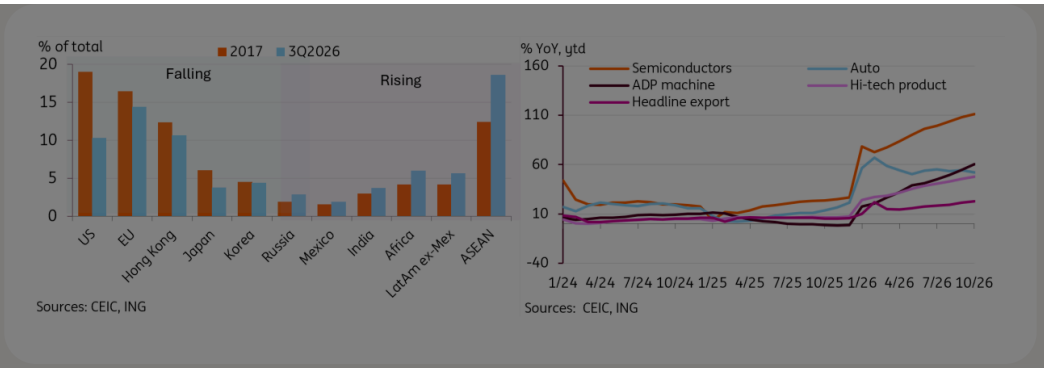
moderate but continue to drive growth into 2027. To achieve stable growth, other parts of the economy might need to pick up the slack. Our next question deals with whether domestic demand can step up to the plate.

Technology products and export diversification continue to support external demand



3) Can domestic demand carry more of the load?

Anyone following Chinese policymakers' messaging will have noticed a recurring theme in recent years: the need to increase the role of domestic demand in driving growth.

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consumption growth in 2026:

- **Trade-in programme turned from tailwind into headwind.** China's flagship policy to boost consumption was the trade-in programme. It front-loaded consumption by offering consumer subsidies for targeted products across categories including autos, household appliances, furniture, and communication devices. The programme's scale fell slightly in 2026, which along with previous front-loading clearly dragged retail sales growth, with household appliance, furniture, and auto sales down year on year.
- **Consumer confidence flatlined after a modest recovery in 2025.** Confidence peaked in February 2026, but pulled back

afterwards. Low wage growth, combined with a negative wealth effect from falling equity and property prices, was the main culprit for soft confidence. Weak confidence continued to reduce discretionary consumption categories for most of the year.

- **The peak and subsequent drop of gold prices dragged gold & jewellery sales.** Gold prices peaked in January. The subsequent bust significantly reduced retail interest in buying gold.

Heading into 2027, we expect a modest recovery in consumption, with potential upside for a larger recovery.

- **Drag from trade-in programme should be smaller.** The pullback we saw from the household appliances, furniture, and

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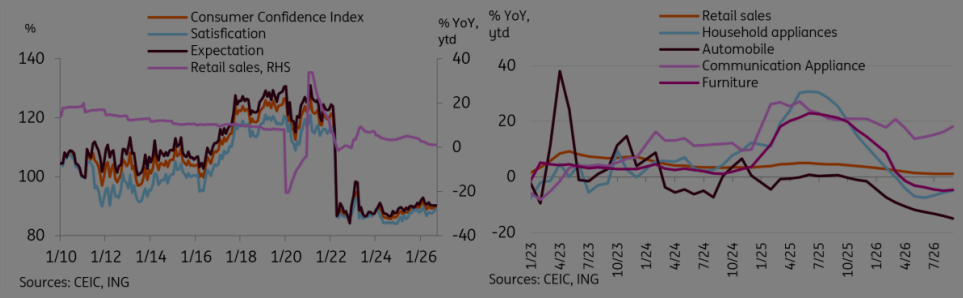
engine slowing in 2027. Longer term, increasing domestic demand is necessary to achieve more sustainable growth.

The big wildcard is how consumer confidence fares next year. The main factors will likely be wage growth and asset price performance. We've seen some encouraging signs that property prices are beginning to bottom out in tier 1 and a few tier 2 cities. This could start to translate into a confidence recovery. While wage growth has remained slow amid a weak job market, a recovery of corporate profits could potentially translate into a recovery if the trend holds.

Weak consumer confidence remains the main constraint on domestic demand



4) Has China successfully escaped deflation?

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Looking ahead to 2027, several factors are likely to continue shaping the inflation outlook.

Food and housing have been the two biggest drags on inflation over the past year, together accounting for more than half of China's CPI basket. The drag from food should gradually fade as pork prices eventually stabilise. Pork has started to see sequential increases starting in the second half of 2026. Abundant domestic supplies of fresh vegetables and fruits should continue thanks to greenhouse expansion, but likely won't repeat the same deflationary impact next year.

Rent may continue to drag on inflation until we see a broader bottom in the property market. Rent has been at -0.6% YoY since April 2026.

This year's primary inflation driver was energy prices, as fallout from the Iran war hit the global economy. Energy costs are a wildcard in 2027. Our house forecasts Brent averaging $81/bbl in 2027, which should keep inflation elevated after higher prices in 2026.

Tech prices, by contrast, surged in 2026 as the AI boom drove heavy demand and price hikes across many tech supply chains. This was most evident in the communication appliances component of China's CPI basket, where prices rose 6.3% YoY in the fi

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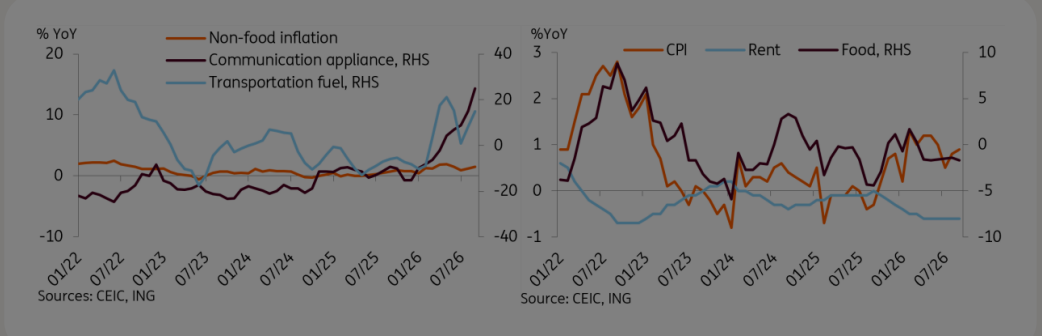
Inflation has turned higher, but the recovery remains uneven



5) Will the drag from the property market finally fade?

Barring an astounding end-of-year turnaround, property prices will have fallen for a fifth consecutive year by the time 2026 wraps up.

China's property downturn has evolved considerably over the past few years. Fears of a catastrophic systemic crisis have largely faded, and developer defaults have become less frequent. Yet home prices still haven't found a clear floor, and the pessimism unleashed by the housing slump remains deeply embedded in household sentiment. The property market remains a major overhang on the economy.

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property-related categories such as cement (-8.6%), flat glass (-7.0%), and steel (-2.0%) through the third quarter.

- Land sales traditionally have been a major source of local government revenue. This dried up as demand plummeted amid the property bust. Local-government revenue from transfers of state-owned land-use rights fell from CNY8.7tn in 2021 to CNY4.15tn in 2025, and looks to have fallen further in 2026. The consequence of this is that local governments are also tightening their belts in terms of spending.
- Falling home and rental prices are contributing to deflationary pressure.

Is the drag from the property sector going to fade in 2027?

In our view, two things need to happen before we see a property sector turnaround. First, we need to see signs that price stabilisation is becoming more entrenched. This year has delivered the most encouraging evidence since the property downturn began, with prices in tier-one cities broadly stabilising or rising for much of the year. If that trend persists and spreads to more tier-two and tier-three cities, it could mark the bottom of the current cycle. For now, the 70-city average property price index has yet to establish a bottom.

Second, property inventories remain elevated, reaching a new record high in early 2026 before dropping later in the year. Until these return to more normal levels, it's difficult to expect significant n

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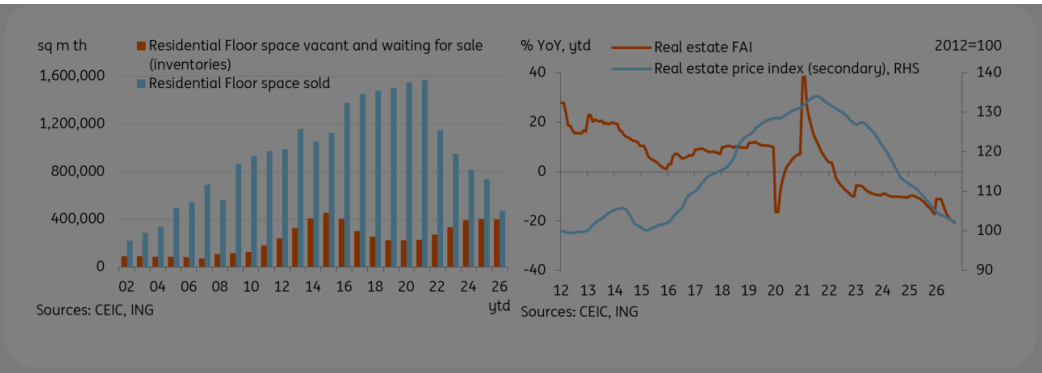
With further support for the property market, we think we could see a smaller drag from the sector in 2027. If price stabilisation continues, it would be a big step, removing a major weight on household and investment confidence. That said, with inventories still high and developers limiting new projects, real estate investment will likely remain a headwind next year.

High inventories and falling prices continue to weigh on the property market



6) What can we expect from policymakers in 2027?

With the 2026 growth target lowered and attention consumed by the AI race, it is perhaps unsurprising that policy support for the broader economy has been underwhelming this year. We expect a g
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limited appetite for using approved quotas in 2026 amid the drop in investment, it's possible that targets could be lowered. Our base case is for targets to stay high to increase flexibility.

On monetary policy, we expect the People's Bank of China to buck global trends and maintain an easing bias. Inflation remains well below target, the labour market remains fairly soft, growth has been decelerating, and the CNY has been strengthening. Conditions are mostly suitable for further easing, with the key exception being bank net interest margins are already at historical lows, and policymakers have thus far preferred targeted easing instead.

Below are our key calls for the PBOC next year:

- **We look for a single 10bp rate cut to the benchmark rate.** The PBOC has resisted broad-based rate cuts, mindful of low banking-sector margins and the fact that many major central banks have remained in hiking mode.
- **Targeted measures to support selected industries look likely to continue.** Re-lending programmes, interest rate subsidies, and risk-sharing facilities may remain the main tools for allocating money to areas of need.
- **PBOC benchmark rate shift will improve monetary policy transmission.** The PBOC formalised a shift away from the 7-day reverse repo rate to the overnight reverse repo rate starting 2 November 2026. We expect this shift to improve monetary policy transmission, enable more precise day-to-day liquidity

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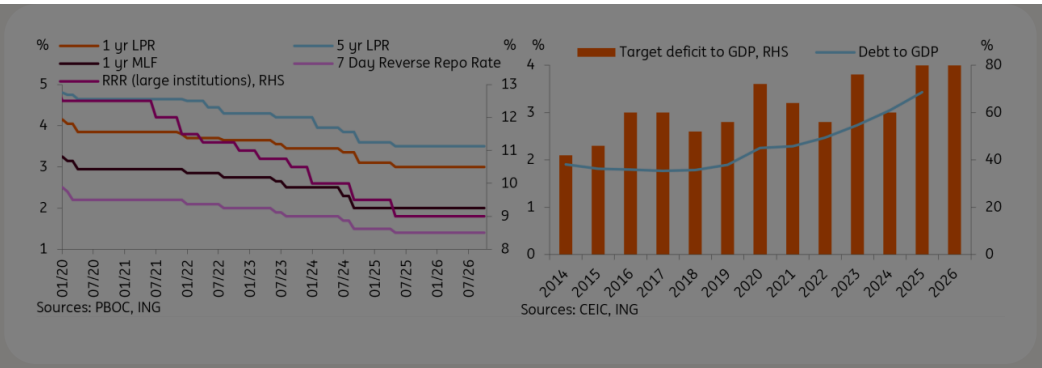
to expand and upgrade goods such as new energy vehicles and smart products. One limitation of recent consumption-support measures is that, while trade-in programmes have successfully brought forward spending, they have done little to lift household confidence. The next step may be to recalibrate policy to make consumers feel genuinely better off.

Support for the property market should also continue to spread the initial recovery seen in the core cities nationwide.

Policy will remain supportive, but broad stimulus is unlikely



7) Will CNY two-way moves return after 2026's gains?

We set an initial forecast band for the USDCNY in 2027 of 6.40-6.80, and our 2027 year-end forecast set at 6.50.

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convincing environment for CNY appreciation to continue. Considering the foreign currency left abroad over the past few years, and incoming foreign currency receivables with China's trade surplus set to hit a new record high in 2026 and remain strong in 2027, the stage is set for further CNY appreciation.

- PBOC has signalled it has neither the need nor intention to use currency depreciation to gain advantages in trade. This suggests that there won't be a push to depreciate the currency even if the current trade boom cools off.
- CNY strength has thus far been without the support of equity market inflows. Chinese markets have been an underperformer.

But if there's some mean reversion or a bull market reversal, this could further support CNY strength.

However, we don't think 2027 will see a repeat of this relatively simple straight line appreciation from April 2025 to the time of writing. Two-way fluctuation looks likely to return, and the recent CNY appreciation bias in markets raises the risk for a stronger reversal, even if the PBOC acts to limit excessive volatility.

- US-China yield spreads remain near-record highs. This correlation weakened in 2026 as investors became worried about missing out on further appreciation, and as the spread narrowed to start the year. However, a hawkish shift as the Iran war broke out has widened the yield spread to new highs. This

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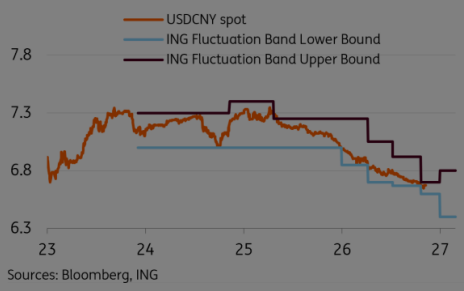
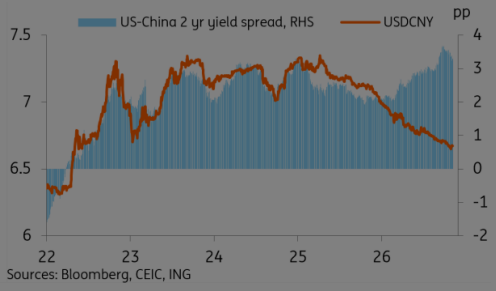
uncharacteristic year-on-year decline after seeing double-digit growth for 5 of the past 6 years. A recovery of ODI demand could add selling pressure to the CNY.

CNY appreciation should continue, but with greater two-way volatility



Sources: Bloomberg, ING



Sources: Bloomberg, CEIC, ING

8) Are CGBs the biggest asymmetric risk to Chinese markets?

China's government bond yields bucked global trends in 2026, falling despite a surge in yields elsewhere in the world amid rising inflation and debt.

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would argue that China exited "peak pessimism" in 2024, many market participants still maintain very conservative asset allocations. Equity and property markets continue to underperform, and demand for risk-free assets remains huge.

- **Limited credit demand has led to rising bank holdings of CGBs.** Bank holdings of CGBs have nearly quadrupled over the past decade and stood at RMB 78.6tn at the end of 3Q26.
- **Many remain trapped in a deflationary mindset.** China has taken steps to move out of deflation in 2026, thanks to higher energy prices that boosted core inflation. Yet the deflationary mindset persists for many, contributing to a willingness to accept such low yields.

- **Tighter restrictions on outbound investment may be preventing investors from investing in higher-yielding bonds abroad.** China's yields are now significantly lower than most major economies, but domestic investors still face limitations on how much they can move abroad to capitalise on this spread. Capital controls remain a major factor in how yields can stay so low.

We think there's a solid case for bond yields to turn around in 2027.

- **A slight normalisation of risk appetite would be sufficient to cause a major shift.** A return to a more balanced asset allocation would be a catalyst for risk asset rallies and a bond market pullback. Banks are investing in bonds instead of

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fiscal policy stance is likely to remain accommodative. Another year of high bond issuance should add some supply pressure on the CGB market.

- **Higher global yields make Chinese yields even less attractive by comparison.** China's bond yields are now among the lowest of major economies. Capital controls will limit how far investors can chase higher yields, but an asset allocation shift from domestic to global bonds could still play a role.
- **Policymakers may start to worry about the implications of low long-end yields, and push back if the bull market continues.** Recall that back in 2024, the PBOC had repeatedly intervened to keep the 10-year CGB yield above 2%. While these efforts were discontinued, market rumours at the end of

October suggested that policymakers had asked Chinese financial institutions not to add duration in the bond market.

We look for 10-year CGB yields to rise to 1.9% by the end of 2027. The key risks to this outlook are further worsening sentiment, a return of deflation, more aggressive-than-expected rate cuts, or tighter capital controls that keep domestic money locked up in the CGB market.

Heavy bond issuance has been absorbed by rising bank demand

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China's strong trade growth on both the export and import sides were in large part tied to AI-related demand. Over 6,000 Chinese AI firms across AI infrastructure, framework, and applications contributed to heavy demand. We saw categories such as automatic data processing machines, semiconductors, and general computer & electronics with high double-digit and even triple-digit export and import growth.

A similar pattern was observed in China's manufacturing industry. Technology-intensive manufacturing significantly outperformed the broader industrial in 2026, led by electronic equipment and semiconductors. Chinese companies across a broad range of

industries are integrating AI into quality control, from precision electronics manufacturing to chilli oil. AI is already playing a role in China's industrial upgrading process.

Hi-tech investment has been the lone bright spot in an otherwise down year for investment, with hi-tech FAI up 4.9% YoY but headline FAI down -7.2% YoY through 3Q26. Despite an equity market selloff as investors start to question valuations, the AI capex cycle itself looks to have further room to run. Spending by major Chinese tech companies has doubled from their 2022 levels, with continued investment in computing capacity, data centres and AI infrastructure. China's grid investment data has been volatile but has generally shown strong growth for the last few years as well.

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relatively high compared to global peers. An ageing population also gives firms a stronger incentive to automate in response to further labour shortages. Faster AI adoption has shown signs of supporting labour productivity growth. It has accelerated for two straight years to reach 6.3% in 2025 after dropping as low as 4.4% in 2023. But it could also accelerate the displacement of substitutable roles and increase downward occupational mobility.

- **Entry-level employment will face the greatest pressure.** China is expected to have 12.7 million university graduates in 2026, 480,000 more than in 2025, adding to an already competitive youth labour market. At the same time, AI is increasingly able

to perform the information intensive and administrative work which traditionally assigned to junior employees. Firms may therefore reduce entry-level hiring without cutting their existing workforce, narrowing the career ladder through which young workers acquire skills and experience.

The government has rolled out policies to address the potential impact of AI on employment, focusing on displacement risk assessment, digital skills training, worker transitions and the creation of new occupations. We expect these measures to moderate, but not prevent, pressure on junior and routine white-collar employment. The key issue for next year is whether new service-sector and AI-complementary jobs can be created quickly e

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economy, a reversal of this trend would naturally have significant implications. We've already seen a significant selloff in equities, which does not help the already soft confidence. A moderate pullback may not necessarily be bad news, as it could allow for more balanced resource allocation elsewhere, but a crash would pose larger risks to the growth outlook.

China's AI capex cycle accelerated sharply after 2023

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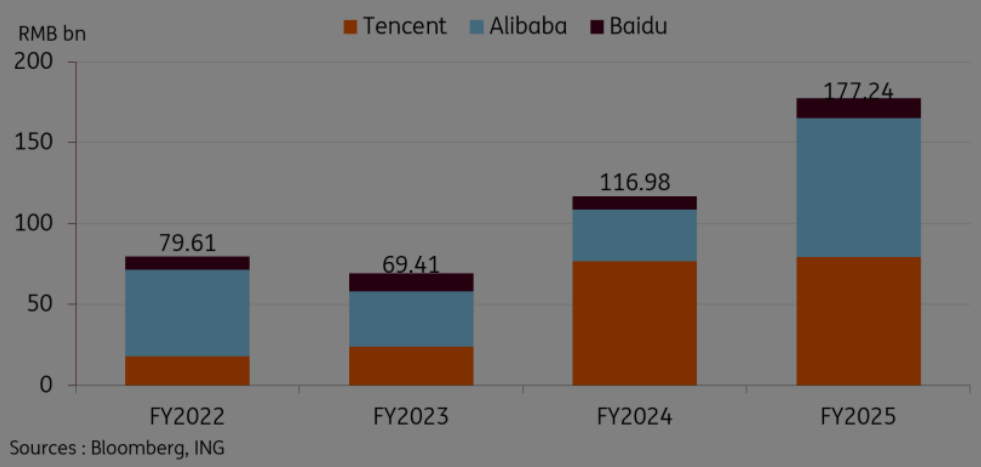

Note :Data refer to company-reported fiscal years; Alibaba's fiscal year ends in March, while Tencent and Baidu report on a calendar-year basis.

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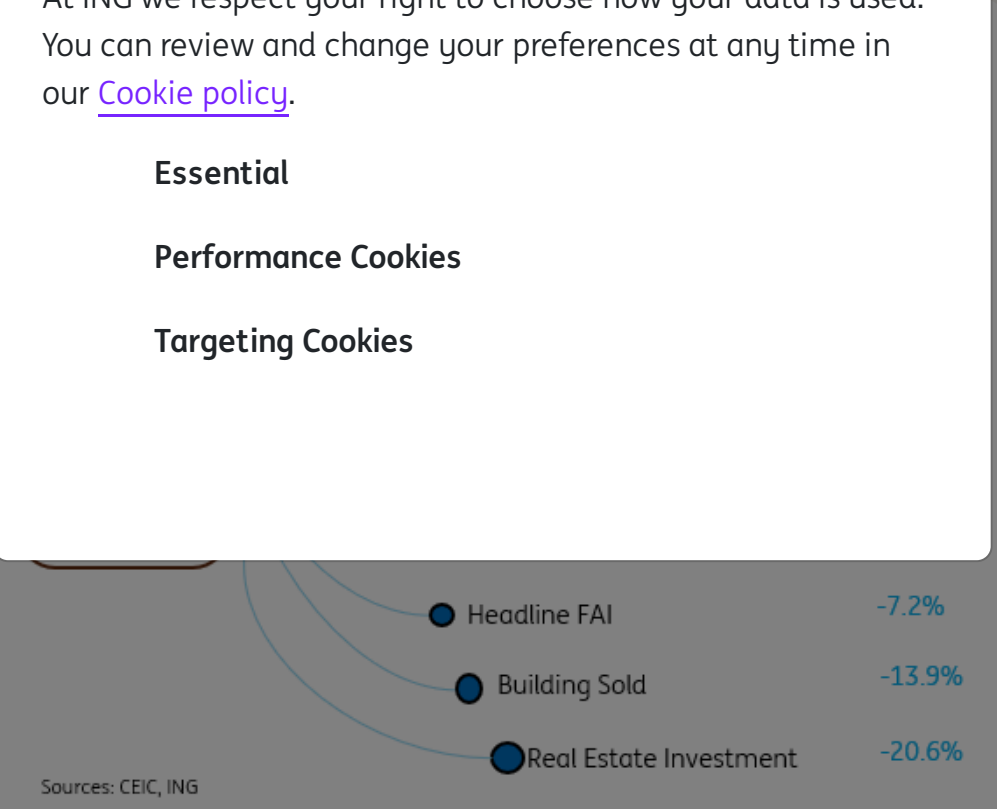

Note: Data are year-to-date through September 2026, except semiconductor exports, which are updated through October.

10) How is China faring in its Great Transition?

Our key long-term call back when first joining ING's research department in 2024 was that China was not in a Great Decline, but

a Great Transition. At that time, discourse on China was arguably at its most pessimistic, with many investors deeming China uninvestable and amid worries over systemic risks. China's reopening after the pandemic fell short of expectations, and many worried its outlook was doomed.

Almost three years later, China is in a significantly different place. While a cloud of pessimism still hangs over the economy at large, the narrative has become a lot more balanced. Within China's widening K-shaped trajectories, pockets of extremely strong growth remain.

We outlined four main directions for China's Great Transition:

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factor behind growing trade imbalances.

Policymakers have said all the right things. But for now, efforts to buoy domestic demand seem to have taken a backseat to industrial modernisation and the tech race. We do, however, see progress in the right direction. For example, trade-in programmes helped front-load consumption, and policymakers have vowed to "strengthen inclusive policies that reach consumers directly."

China has already made great progress in moving up the value-added ladder. The evolution of China's industrial production and exports shows its manufacturing backbone moving from the low end toward the high end.

Exports show that the share of machinery and transport equipment in total exports rose from 48.6% in 2023 to 56.0% in 3Q26. Traditionally low-end miscellaneous manufacturing, including clothing and footwear, has dropped from 22.8% in 2023 to 18.6% in 3Q26.

This transition has major global implications, prompting discussion of a so-called “China Shock 2.0” as the economy produces increasingly high-end products. China's auto industry has rapidly risen to global prominence, capitalising on the accelerating worldwide adoption of electric vehicles.

China’s green transition has continued its great progress. China has undergone a remarkable green transition over the past decade-

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Heavy investment continues in green industries. China is a leading player in key sectors such as EVs, solar, and wind power generation. This shift is clearly affecting the global economy through trade and investment.

China’s efforts to advance technological development and digitalisation have exceeded our expectations. Chinese firms have proven to be competitive in the AI race. China has taken major steps to improve self-reliance, including strengthening the domestic semiconductor industry and developing the robotics industry.

Digitalisation of the economy continues to build on existing strength. According to China’s National Data Administration, the

core industries of China's digital economy accounted for over 10.5% of total GDP in 2025.

There's also a firm commitment to continue heavy investment in research and development. China's 15th Five-Year Plan committed to setting an R&D expenditure growth target of at least 7% per year through 2026-2030. R&D spending reached RMB 3.92tn in 2025, equivalent to 2.8% of GDP.

In conclusion, China has made good but uneven progress in its key economic transitions over the past few years. Strong progress in the tech and green transitions, along with China's aggressive move up the value-added ladder, laid a foundation for future growth. However, domestic demand must be strengthened to drive more

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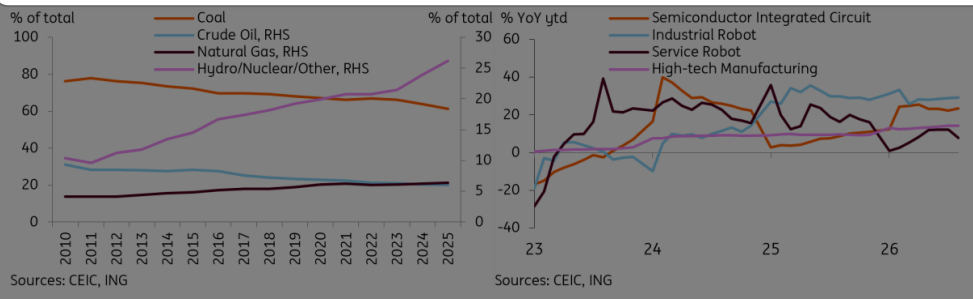

Monetary Policy | Investment | Inflation | Imports | GDP | Fiscal policy | Exports | Consumption | China | Asia Pacific | Asia Markets | Asia | AI

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US consumer price inflation came in hotter than expected, with headline CPI rising 0.4% month-on-month and core CPI up 0.3%, both a tenth of a percentage point above expectations. No year-on-year rates were published because the government shutdown meant no price data was collected in October 2025

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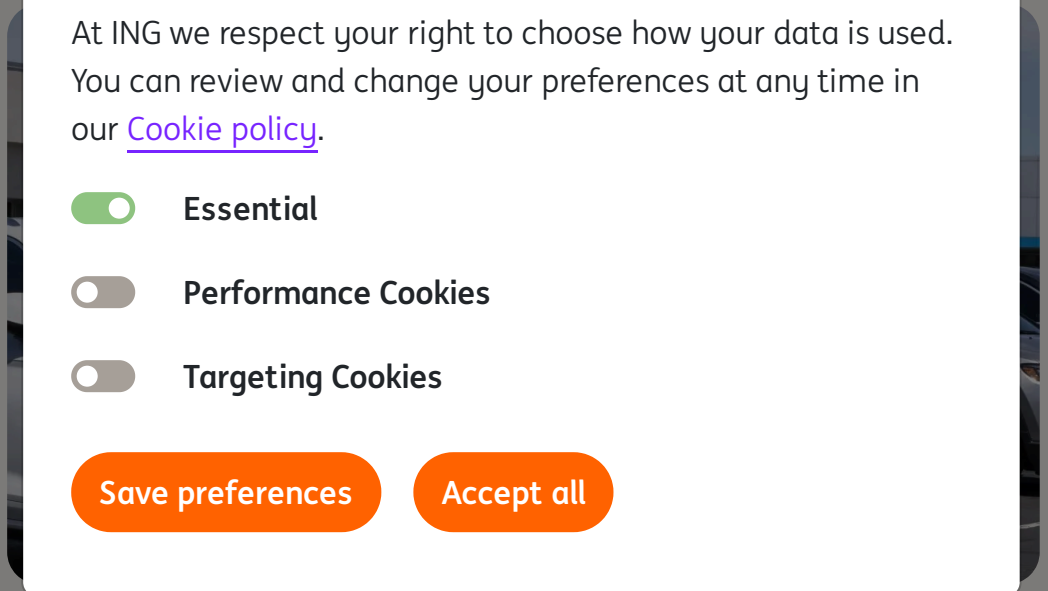

Used vehicle prices fell sharply in October

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There was some softness in the details of today's US CPI report, with new vehicle prices rising just 0.2% month-on-month and used vehicle prices falling 1.2%. But other components were hotter: medical care commodities rose 0.5%, transportation services jumped 0.8%, while shelter, the largest component of the CPI basket, increased 0.3%. Overall, headline CPI rose 0.4% and core 0.3%, both 0.1ppt above consensus.

Following on from Fed Governor Chris Waller's comments earlier today that he backs a 25bp hike in December and could even opt for a 50bp hike, Treasury yields have pushed higher, with the 10Y

and 2Y up 6bp and 13bp, respectively. Markets are now fully pricing in a 25bp hike at the December Fed meeting, in line with our own forecast, versus 20bp from before Waller's comments.

Nonetheless, hopes of a Middle East de-escalation are pulling energy costs lower, with retail gasoline prices now below $4/gallon for the first time since mid-July. If that continues, it should provide a meaningful drag on November headline inflation, but we won't get that data until the day after the December FOMC meeting.

The Fed may get a sneak peek of that data, giving it the confidence to only raise rates by 25bp. We are not forecasting any further hikes in 2027 as interest rate-sensitive sectors cool further, with housing costs and lower energy prices amid weak wage growth dampening p

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Source: Macrobond

US CPI inflation

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The dollar should stay supported by strong US growth, high inflation and a Fed threatening to tighten before weakening next spring as inflation falls. An AI correction looms large, and what about attractive overseas growth drawing funds away from the dollar?

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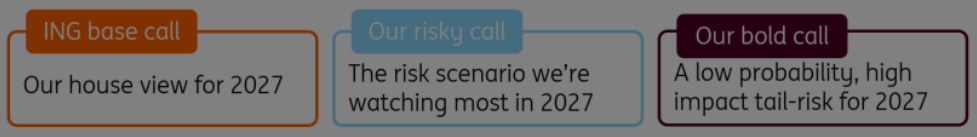
How to read our three calls for 2027



Source: ING

ING's base call: Dollar stays supported until next spring

Our base call assumes that the Federal Reserve stays hawkish in the first quarter, as decent US growth and above-3% inflation keep money markets pricing in the threat of an extended tightening cycle. That turns in the second quarter, when energy-driven base effects drop out of headline inflation and a return to the Fed's 2% inflation target sees short-dated US rates move meaningfully lower.

That timing also suits events in Europe. French budgetary politics look set to keep a risk premium in the euro ahead of April's elections. We therefore see EUR/USD trading offered in a 1.10-15 range over the next four to five months. From the

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lower.

Our bold call: Overseas growth surprises positively

EUR/USD rallied sharply in 2017 when Dutch and French elections saw euro-sceptic parties failing to advance. Having toned down her views on France leaving the euro, a decisive victory by Marine Le Pen in April and greater budget clarity could reassure markets. If eurozone growth continues to defy energy and political headwinds,

a rotation to European assets could be the surprise package for EUR/USD.

We're also watching Japan for signs that it could follow South Korea's lead and deliver stronger growth. There, chip exports have benefited the broader economy and the Bank of Korea revised up this year's GDP forecast to 3.3%, from 1.8% at the start of 2026. Japan supplies the manufacturing equipment and materials for chip production. Broader benefits to the economy from loose fiscal policy could see upside surprises to Japanese growth, tighter Bank of Japan policy and a much weaker USD/JPY.

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BUNDLE

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ING Global Outlook: Power Play

This bundle contains 19 articles

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Our base call sees yields rising to 5.25-5.5% before easing to 4.5-4.75% as inflation cools. Our risky call has US 10-year yields at 6% and German yields at 4%, while our bold call sees systemic stress triggering de facto yield curve control

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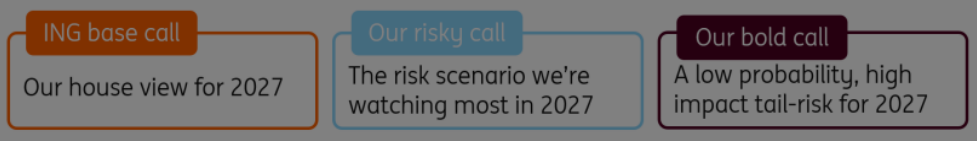

Source: ING

ING's base call: Renewed upward pressure on long rates, but it ultimately wanes

We expect upward pressure on Treasury yields to persist into early 2027, with AI-driven productivity growth, large fiscal deficits and sticky inflation potentially pushing the 10-year towards 5.25-5.50%. The turn should come later as inflation softens and Fed easing expectations return, pulling yields towards 4.50-4.75%. Inflation remains the key threat heading into 2027.

For euro rates, second-round inflation concerns could push 10yr swaps above 4%, but we think markets have gone too far in pricing an ECB terminal rate above 3%. Our end-2027 baseline remains 2.5%, while downside for longer-dated

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tighter for longer, pushing yields higher across the curve.

Second, AI. A genuine economy-wide productivity boom could lift potential growth and equilibrium real rates. The dot-com era offers a precedent: strong US growth helped push 10-year Treasury yields above 6% despite relatively benign inflation expectations. A comparable AI-driven productivity shock could have a similar effect.

Third, fiscal risk. A sharp deterioration in confidence over US and European fiscal trajectories could generate significant government-bond underperformance versus swaps. In this scenario, the move

toward 6% and 4% would reflect rising fiscal and term premia rather than expectations of tighter monetary policy.

Our bold call: Long tenor rates are forced to lurch lower on official sector intervention

At the extreme, policymakers could decide that rising bond yields pose an unacceptable threat to financial stability. In the eurozone, that could mean the ECB overlooking fiscal recklessness and prioritising the stability of the system and the euro. Existing programmes leave it with considerable firepower to contain yields and fragmentation.

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Eurozone

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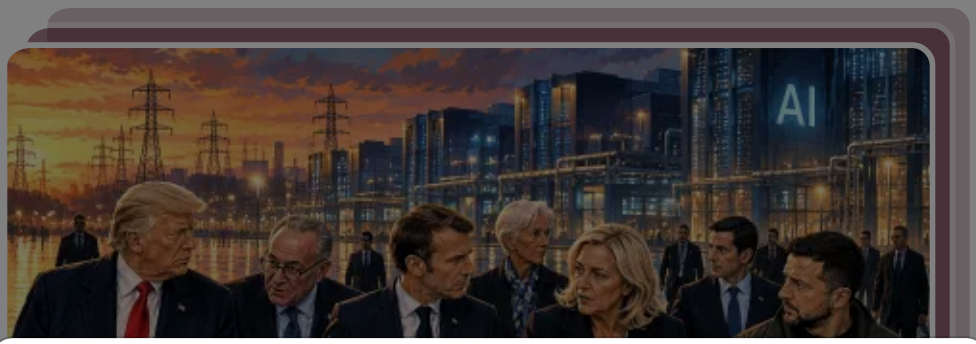

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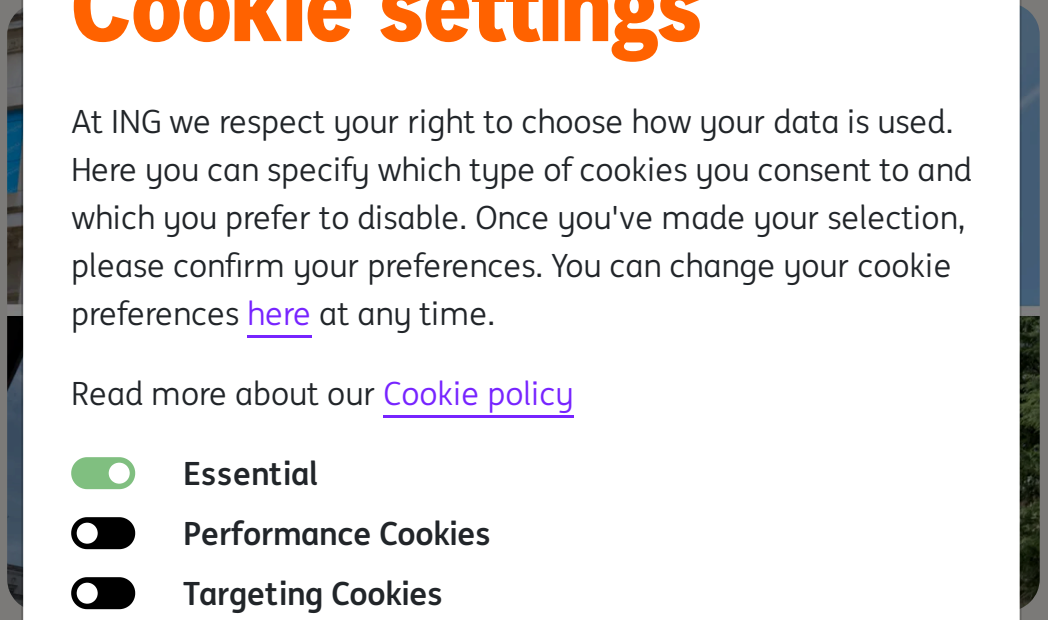
Here's our take on what could be next for the Federal Reserve, the European Central Bank, the Bank of England, the Bank of Japan and the People's Bank of China over the coming months

James Knightley, James Smith, Carsten Brzeski, Chris Turner and L



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prompted the Fed to hike rates in September and signal that at least one additional rate increase is likely.

This was all the ammunition markets needed to price in at least three additional 25bp moves. However, caution is creeping back into market pricing with officials skipping the October Federal Open Market Committee (FOMC) meeting despite higher-than-expected inflation prints. Instead, the near-uniform message is that the Fed is under no immediate pressure to hike amid growing evidence that interest-rate-sensitive parts of the economy are cooling while wage pressures look increasingly benign.

Additional Fed rate hikes will do nothing to ease tensions in the Middle East and likely do little to cool the strong pipeline of tech investment. We think the Fed will hike once more, at the December FOMC meeting, after which we expect a prolonged pause well into 2027.

European Central Bank

Another rate hike in December looks like a done deal, but looking beyond this year, the outlook for the ECB is clearly less certain. In fact, two main factors will be crucial for the ECB in 2027. One, the intensity and duration of the war in the Middle East and, with it, the t
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reached sufficient depth and longevity to justify further action.

Still, there's little evidence so far of second-round effects. Food inflation is remarkably benign. Our gauge of "energy intensive" inflation is actually down this year. And the jobs market is sufficiently cool, meaning wage pressures are unlikely to build materially. For now, it's too early for the Bank to let its guard down.

The data through winter and early spring will be crucial, particularly the April CPI report released in May, which is heavily affected by annual price resets. If by then there are still minimal signs of second-round effects, we think the Bank will feel comfortable

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turning more dovish by the summer. Ultimately, this could enable the BoE to cut rates before the end of 2027.

Bank of Japan

BoJ policy normalisation will continue. In October, the BoJ reached a milestone: finally hitting its 2% inflation target. That target had been set in 2013. The BoJ openly admits that real interest rates are negative. The debate naturally moves on to how quickly the 1.25% policy rate will be taken to neutral – commonly seen in the 1.75-2.00% area. We now look for 25bp hikes at the December and March meetings as the quarterly tightening cycle continues.

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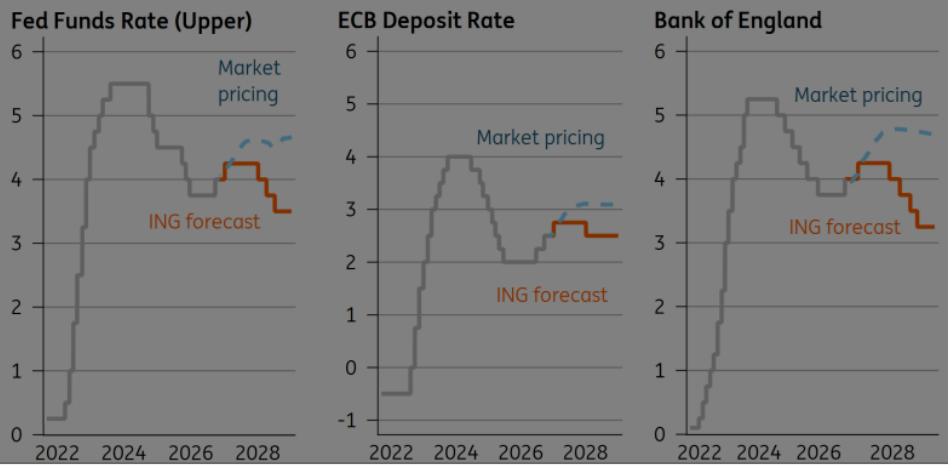
the worst levels since the pandemic, and could clearly benefit from further policy support. Third, the labour market looks soft, with lower wage growth and high youth unemployment.

The PBoC has preferred targeted easing measures rather than policy rate cuts. Bank net interest margins hit record lows and global central banks shifted into rate hike mode in 2026. We still see scope for both in 2027, especially if external demand starts to show signs of weakening. We currently look for a 10bp rate cut in mid-2027.

Our view on the major central banks



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Our base case assumes solid growth, cooling inflation and the Fed hiking once more as Middle East tensions subside. However, if President Trump feels constrained after the midterm elections and hawks within the Administration push for more aggression on Iran, we will face a very different economic outlook. Our bold call envisages an AI revolution

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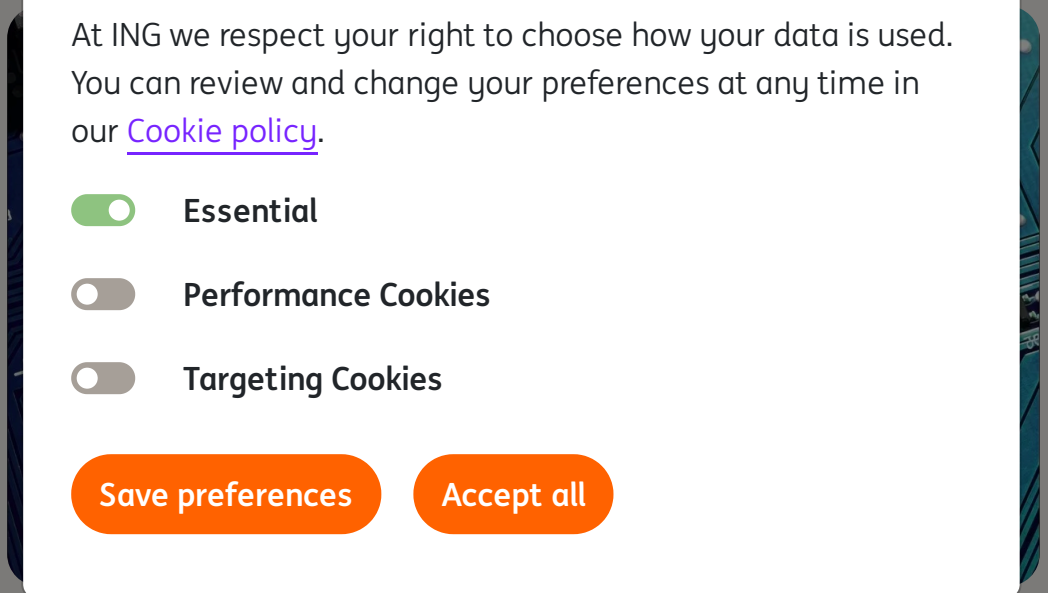

AI investment could supercharge US economic growth

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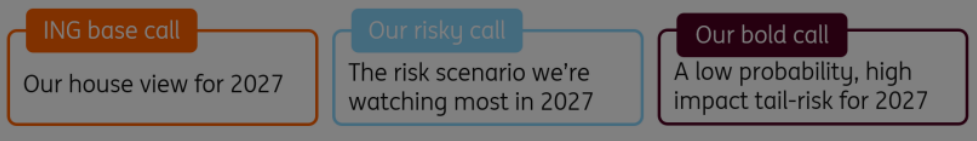
How to read our three calls for 2027



Source: ING

ING's base call: Solid growth and cooling inflation remains our call

We continue to expect respectable US growth of 2-2.5% over the next couple of years, but with ongoing bifurcation. Wealth gains are supporting spending among higher-income households, while weaker wage growth is pressuring middle- and lower-income households.

Within business investment, tech-related capex shows little sign of slowing, but appears to be cannibalising investment spending elsewhere and is contributing to the low-hire, low-

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Our risky call: Constrained Trump goes all-in for regime change in Iran

With President Trump constrained by a Democratic-led Congress, foreign and trade policy remain key sources of risk to our base case. For example, Iran hawks within the Administration could convince him that diplomacy won't work, meaning regime change in Iran is required. Disruption in the Gulf would then intensify, with energy prices spiking. At the same time, President Trump could demand NATO involvement, applying onerous tariffs on imports from members that refuse to participate in the conflict with Iran.

In this scenario, rising inflation could prompt the Fed to raise rates above 5%. Government borrowing would rise on military spending, but Treasury yields would be held down by 'safe-haven' buying as equity markets plunge. Recession risks would then mount through demand destruction as unemployment climbs. Iran would eventually be weakened sufficiently that attacks cease and energy flows resume. Oil, natural gas and fertiliser prices would then subside, with inflation falling rapidly. Monetary policy would be eased aggressively, but it would be too little, too late to prevent a painful downturn for the global economy.

Our bold call: Party like it's 1999? US growth hits 5% in 2027

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projections and lower inflation prompt Treasury yields to plunge. The Fed cuts rates while mortgage rates drop below 4%, triggering a recovery in the residential property market. The economy booms broadly, with equity markets soaring to new highs.

US Growth Federal Reserve

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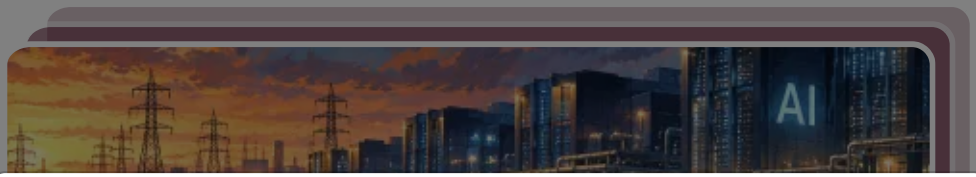

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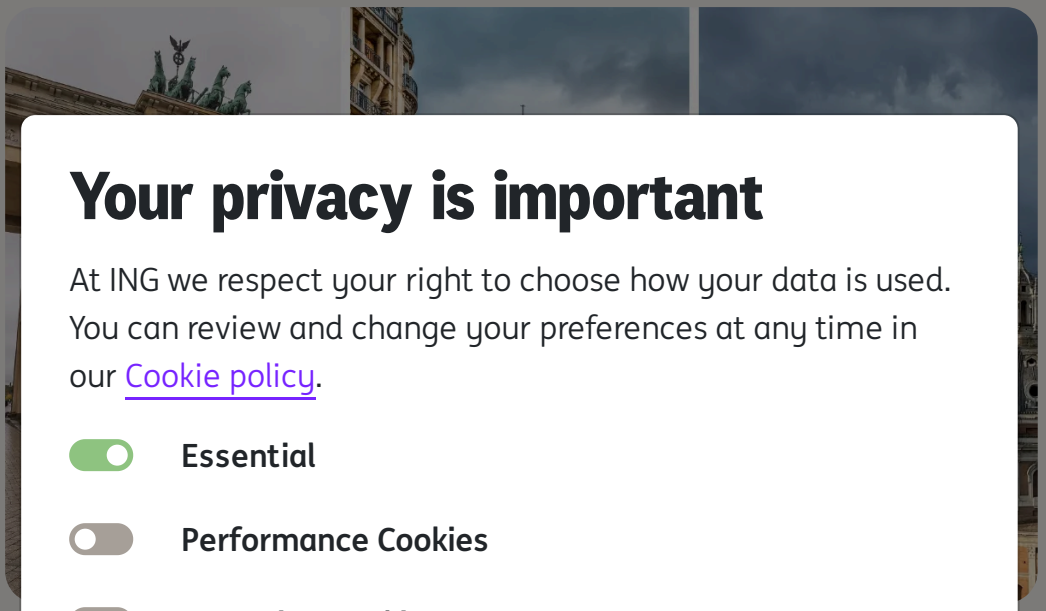
Germany, France and Italy face a subdued outlook in 2027, with fiscal policy and politics playing a key role

Carsten Brzeski, Charlotte de Montpellier and Paolo Pizzoli



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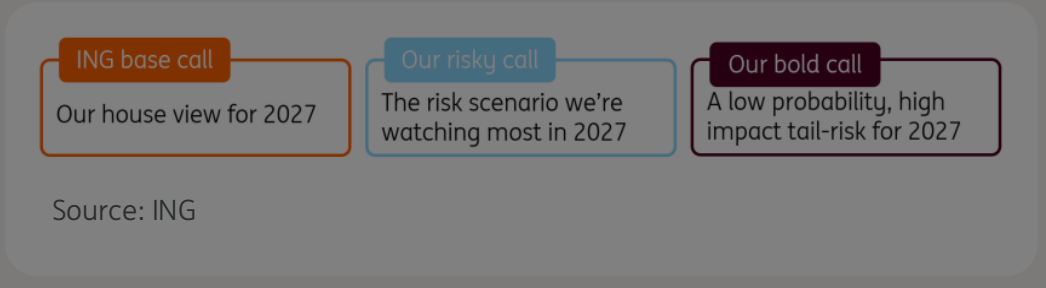

Source: ING

Germany: Politics vs economy – round two

2026 was the year of unexpected resilience, despite a continuing struggle to decide and actually implement structural reforms. Still, the economy delivered its strongest growth outcome since 2022, driven chiefly by longer-term fiscal support for defence and

infrastructure. Some of the industrial momentum should carry over into 2027, as will fiscal stimulus.

The main question, however, is whether fiscal stimulus will once again be enough to offset the lack of competitiveness-enhancing reforms. Whether the government can implement already announced reforms, enact further-reaching reforms to reduce bureaucracy and taxes and develop a longer-term strategy for affordable energy will determine whether the current rebound could actually turn into a recovery. For now, we expect 2027 growth to come in at around 1%.

France: Weak growth keeps the fiscal p

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presidential election and possibly beyond as parliamentary elections are likely to follow. Given the high likelihood that no stable majority will emerge, the risk premium on French bonds will likely remain elevated in the first half of 2027.

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Italy: Growth set to decelerate, notwithstanding a mildly expansionary budget

Italy's economy should continue to grow in 2027, but at a slower pace. Domestic demand will remain the key driver, despite higher policy rates, elevated inflation and the recovery plan's expiry. Unless energy prices turn lower soon, inflation is likely to stay

above 5% in the first quarter, squeezing purchasing power. Resilient employment will only partly cushion household disposable income. On the investment front, the recovery plan's expiry is likely to slow infrastructure investment, but not trigger a collapse. The latest revisions allow some projects to be deferred through dedicated financial vehicles.

With parliamentary elections due in 2027, most likely in late spring or early summer, the government is temporarily shifting fiscal policy to a very mildly expansionary stance. The budget, now before parliament, uses part of the national escape clause's flexibility for defence and energy, helping to cushion the growth slowdown ahead of the vote.

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Given the level of uncertainty in energy markets this year and with little sign of a change going into next year, any call on energy markets for 2027 is a low-conviction call. But here are our 3 calls for energy markets for 2027

Warren Patterson

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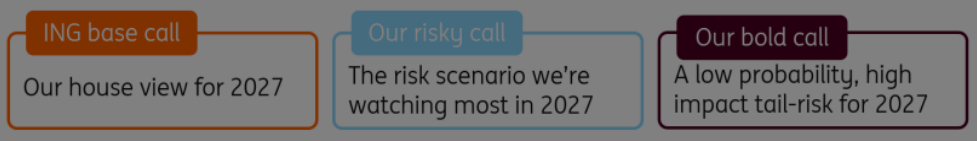
How to read our three calls for 2027



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ING's base call: Brent to average $77/bbl next year

Oil markets have been on a roller coaster this year given events in the Middle East. However, we are going into year-end with oil flows from the region near pre-war levels despite the lack of a deal between the US and Iran. While oil flows are normalising, the way oil is coming out of the region is anything but normal, which is reflected in the surge in tanker shipping rates, given the very inefficient oil flows.

Our base case assumes occasional flare-ups between the US and Iran, meaning a full normalisation of Persian Gulf supplies remains some way off and the oil market is likely to retain a degree of risk premium. However, provided there are no significant or prolonged disruptions, we expect the market

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The most likely candidate to leave OPEC is Venezuela, with the US's growing influence over the Venezuelan oil industry following the capture and arrest of President Maduro at the start of 2026. But we believe that some Persian Gulf producers may also question their membership, particularly if disagreements emerge over the capacity numbers used by the group to set production targets. Iraq has already made noise around production targets, and following the exit of the UAE, some members may be looking at them enviously, with the UAE pumping record volumes of crude since leaving the bloc.

Our bold call: TTF to trade sub-€40/MWh before the end of next year

European gas prices have strengthened significantly in 2026. But what goes up must come down, and we believe prices could fall sharply next year. There are clearly plenty of assumptions here, most importantly a normalisation of Persian Gulf LNG flows in early 2027. If that happens, we believe TTF could trade below €40/MWh by end-2027.

On the demand side, higher prices are already driving some industrial demand destruction, while we are deep in the gas-to-coal switching range. Furthermore, El Niño could bring milder weather to

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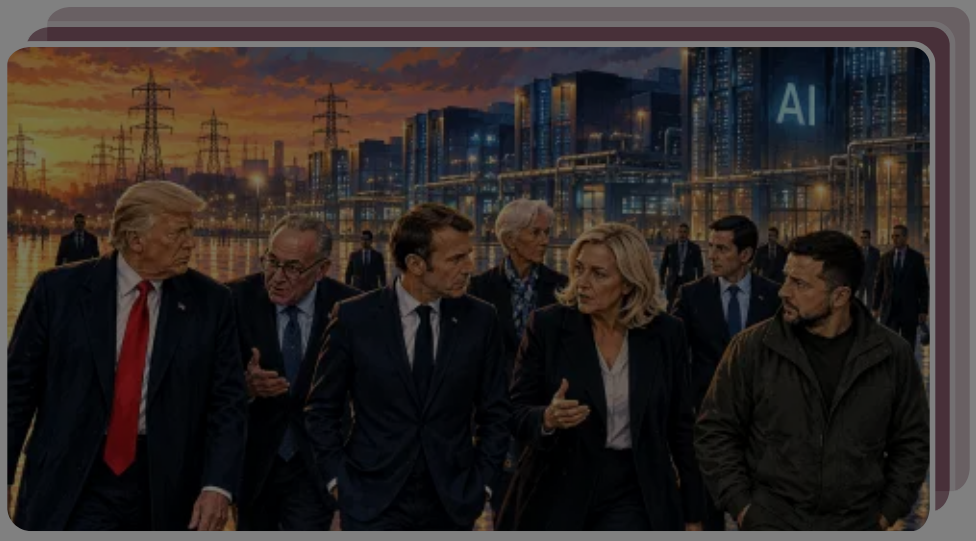

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Global trade will remain resilient in 2027, but the focus will shift from tariffs to ownership, technology and investment. While not our base case, an escalation in an EU-China trade war would rank among the most significant risks to global trade

Inga Fechner and Carsten Brzeski

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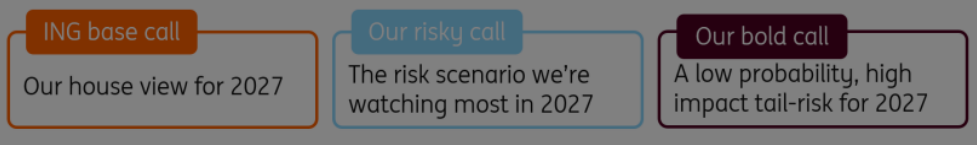

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ING's base call: Trade survives politics

Global goods trade continues to weather geopolitical shocks. Over the past few years, trade has proved far more resilient than global headlines suggest. We expect that resilience to continue into 2027. Disruptions in global shipping, shifting tariff regimes and recurring geopolitical tensions have repeatedly altered trade routes without derailing trade itself.

Strong demand for AI-related investment and infrastructure should continue to support trade flows, particularly across Asia, while selective US-China decoupling is likely to benefit third countries that attract production and investment. For 2027, we expect global goods trade to remain positive, expanding about 3% year-on-year. In short, trade survives

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centre once supported for bringing local investment and jobs is now treated as a national-security risk. Companies that once navigated geopolitical tensions through diversification find themselves forced to choose sides. The question is no longer who exports the most, but who controls the productive capacity on which economies depend. Trade would continue, but the corporate structures that have kept it moving would start to fracture as governments alter trade flows. This could potentially cause global goods trade growth to stall or even contract in 2027.

Our bold call: EU-China trade war

The EU and China enter an outright trade conflict. Europe abandons its largely open-market approach and increasingly applies reciprocity principles to market access and investment. Chinese firms investing in strategic sectors face mandatory 50:50 joint ventures, local ownership requirements and growing restrictions on acquisitions.

At the same time, the EU imposes broad tariffs on Chinese imports, with rates reaching 50% in politically sensitive sectors such as vehicles, chemicals, machinery and electronics. China retaliates with measures of similar scale.

The consequences are significant. China accounts for roughly 15% of global goods trade, while the EU accounts for around 13.5%

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The AI boom is reshaping growth, productivity, trade, jobs and markets. Investment still has room to run in 2027, but financing is getting riskier and expectations are sky-high. We ask how long it can last, who stands to gain and what happens if the promised returns fail to arrive

Carsten Brzeski, Bert Colijn, James Knightley, Deepali Bhargava, James Smith, Lynn Song, Jan Frederik Slijkerman and Amrita Naik

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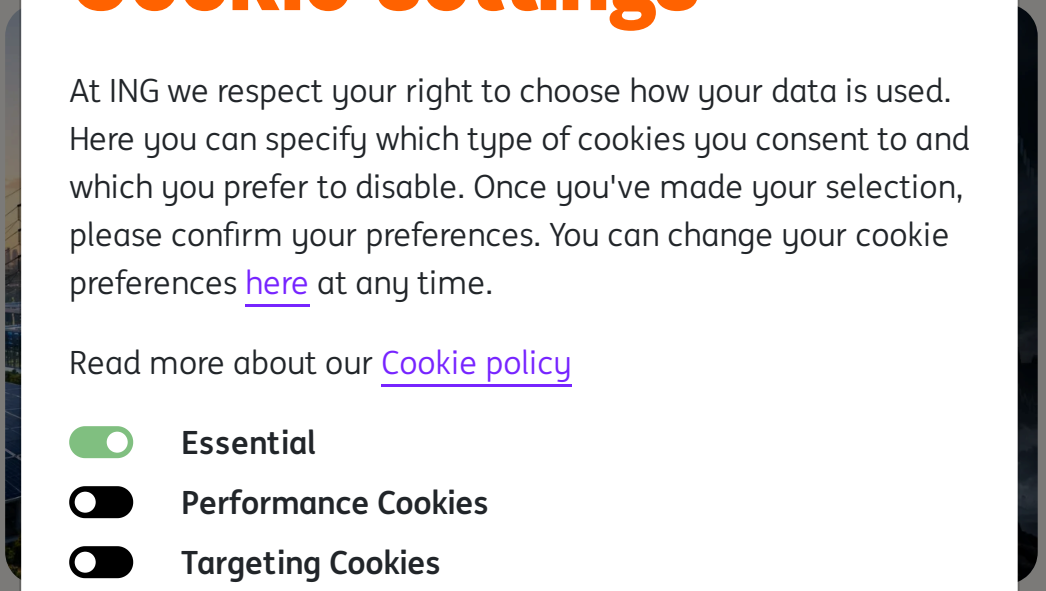

- **The AI boom still has room to run.** Investment is likely to continue rising in 2027, supported by strong demand and constrained supply. But its contribution to US growth is probably close to its peak as the sheer scale of investment makes further acceleration harder.
- **The boom is entering a new phase.** The story is expanding beyond chips and data centres into power generation, grids and cooling. At the same time, financing is shifting gradually from hyperscalers' enormous cash flows towards debt, private credit and

more complex structures, increasing the risks if expected returns fail to materialise.

- **The economic effects are becoming broader and more complicated.** AI is supporting US growth and global technology supply chains, but may also be diverting investment from other parts of the economy. It is adding to inflationary pressures today through demand for energy, equipment and skilled labour, while the hoped-for productivity and disinflation benefits are likely to take longer to emerge.
- **The winners will not necessarily be those building the**

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Railroads, electrification, dotcom fibre: how does today's AI boom compare with the great investment manias of the past?

Bigger than the dotcom boom, more important for growth and, so far, more safely financed.

Investment in US data centre structures, computers and software reached 5.6% of GDP in the second quarter of 2026, up from 3.8% in 2022, or 5.2% once imported hardware is netted out. That already

puts the current boom above the dotcom peak in 2000, when business investment in computers, communications equipment and software reached about 4.5% of GDP, although still below Britain's railway mania of the 1840s, when railway investment alone reached roughly 6-7% of GDP.

So while this is not the biggest investment boom in history, it is already bigger than the last great technology boom. And it is having a much bigger economic impact: IT investment accounted for 16-18% of US GDP growth in 1998-2000; AI-related investment now accounts for 37%.

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software, accounting, online retail and advertising.

The common thread is that transformative technology does not necessarily mean good returns for those who finance the transformation. The Nasdaq lost almost 80% between 2000 and 2002, yet the fibre laid during the boom went on to underpin the streaming economy. Investors build the road; others get to drive on it.

How much more will be invested in AI in 2027, and is the boom still accelerating?

Still accelerating in dollars, but probably peaking in its contribution to growth.

Momentum remains strong. Taiwan's leading semiconductor companies report order books that are full on a rolling 18-month basis, with any new capacity snapped up as soon as it comes online. Industry forecasts point to tight supply-demand conditions until 2028. Barring a wave of order cancellations or defaults, that points to another year of heavy AI investment in 2027, with hyperscaler capex expected to exceed US$1 trillion, increasingly geared towards AI infrastructure.

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guidance that stops being revised up, and a widening gap between investment and AI revenues.

For now, the bigger risk is not that the money runs out in 2027, but that it keeps flowing so fast that the questions about returns grow much louder in 2028.

Chips and data centres are only the first layer. How big is the second wave of

investment in grids, power generation and cooling?

Bigger, slower and longer-lived than the first wave – and potentially more important for the macro outlook.

As a rule of thumb, US$1bn buys roughly 25MW of fully equipped AI compute capacity. Not all of the c.US$1 trillion of hyperscaler capex expected in 2027 will go to AI compute; some will fund conventional cloud infrastructure. But even if only half does, that implies more than 12GW of additional power demand – roughly the output of a dozen large nuclear reactors, needed around the clock.

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construction and engineering firms, so the benefits travel further.

There is a catch. Somebody has to pay for the grid, and in regulated markets that somebody is often the household electricity customer. Rising power bills are already turning data centres into a political issue in parts of the US, and they feed straight into the inflation debate.

Chips are the sprint. Power is the marathon – and the marathon may end up mattering more.

Is this an American party, or does Europe get an invitation? Who supplies the picks and shovels?

So far it is very much an American party – but Europe supplies the catering, and may turn out to be the smarter guest.

The investment gap is stark. US imports of computer equipment and semiconductors, a rough proxy for AI investment, have risen by about 258% since 2019, compared with 38% in the UK. Europe's own build-out is held back by high energy prices, scarce grid capacity – think of the data centre moratoria in Dublin and A
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FDI into semiconductors, electronics manufacturing, and supporting supply chains as firms expand capacity and diversify production networks.

More importantly, the broad economic gains from AI come from using it, not building it – and here Europe is surprisingly good. Uptake is strong, and European SMEs use AI almost as intensively as large corporates, because the upfront investment is low. Nor does AI look like a winner-takes-all technology: switching costs are low and network effects limited. If model providers end up competing on price, the spoils go to the users – and Europe does

not need to build nearly as many data centres to compete. Late to the construction site, Europe could still be early to move in.

There is a silver lining, too. Europe is far less exposed if the boom turns to bust. Its AI capex is smaller and the wealth channel much weaker: equities make up 13% of UK households' financial assets, versus 44% in the US. Missing the party also means skipping the hangover.

Which sectors stand to win most, and which risk being left behind?

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But don't write off every exposed sector. The Jevons paradox – cheaper supply raising demand – could favour some of them. Legal services is a good example: if AI makes contract review or legal advice much cheaper, demand may rise faster than the cost per task falls. Growth may also come from unexpected places. In healthcare, AI-driven drug discovery and diagnostics could open up new treatments, creating demand rather than merely cutting costs.

Ultimately, productivity gains depend more on the tasks employees perform than on the sector they sit in. Workers handling

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large amounts of data, text or graphics are likely to see the largest gains. The chart below, from our 2023 work, shows how the potential benefits of generative AI across tasks relate to the degree of digitalisation across sectors: the more digital a sector already is, the faster AI can travel through it.

In short, the winners will be those that build AI or use it to work smarter. The losers will be those whose core activities can increasingly be automated.

Growth, prices and trade

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accounts for 37% of US real GDP growth. Substantial, but a long way from the 'AI is the only game in town' narrative.

The more uncomfortable finding lies outside tech. Rather than lifting the overall growth rate, the AI boom seems to have cannibalised growth elsewhere. Strip out AI, and the rest of US private non-residential investment had fallen year-on-year for six consecutive quarters by mid-2026. Before 2021, tech and non-tech investment moved broadly in step; since then, they have moved in opposite directions. One explanation: shareholders reward companies that embrace AI, so capital budgets are being redirected towards tech at the expense of everything else. So the boom isn't

so much about creating additional investment as redirecting investment from elsewhere in the economy.

What would US growth look like without AI? Not simply 37% lower. Part of the capital, engineers and electricity absorbed by AI would have found other uses. A world without the AI boom would most likely show weaker growth, but not by the full amount of AI's contribution – and with a more balanced investment mix.

For 2027, our plateau base case implies a smaller AI contribution to growth. That would give the non-tech economy room to breathe – but only if it is ready to take over.

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without an exceptional acceleration. While AI-related sectors are providing a significant boost to several Asian economies, this largely reflects rapid investment and higher capital utilisation rather than a sustained improvement in underlying productivity. However, in China, we've seen labour productivity growth pick up in the last two years, breaking what had been an extended downtrend as Chinese companies race to incorporate AI in workflows. In the eurozone, which lacks comparable AI investment, labour productivity growth remains lacklustre, with very few exceptions, like for example, in the Netherlands.

The technology holds real promise for broad-based productivity gains. But reaping them requires wider adoption and investment in infrastructure and skills, both within companies and across the economy. That suggests a J-curve: heavy upfront intangible investment – time spent learning new skills and reorganising workflows – could initially mute measured productivity before the investment pays off, possibly quite abruptly. Electrification is the classic precedent: the electric motor arrived in the 1880s, but factory productivity only took off in the 1920s, once factories had been rebuilt around it.

And even then, a shift of the workforce towards sectors where p… w… d… s…

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Inflationary today, disinflationary tomorrow – but don't hold your breath for the outright deflation Silicon Valley promises.

It depends on your time horizon. For now, the effect runs in the inflationary direction. AI's enormous energy demand is adding to the current energy shock, memory chip prices have surged, and the scramble for electricians, transformers and construction capacity is pushing up costs. Meanwhile, the investment boom is pouring fuel on the fire of a US economy already running with above-target inflation.

In the longer run, once the technology lifts productivity, it should lower unit labour costs and exert disinflationary pressure across the economy. Like most technological breakthroughs, AI will probably end up being disinflationary. But the effect will be concentrated in services and much smaller for goods with physical inputs. Algorithms can't make steel, copper or concrete cheaper.

There is also a less comfortable twist. AI allows companies to price dynamically, adjusting prices to what each customer is willing to pay and thereby capturing more of the consumer surplus. That could make some prices stickier rather than lower. Together with the physical constraints, this makes the outright deflation Sam A

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A rewarding the countries that own its choke points.

AI is increasingly sorting the global economy into winners and laggards. The IMF has raised its outlook for economies benefiting from the AI investment boom, particularly those embedded in the global technology supply chain, while countries outside it see much less of a boost. Taiwan is riding booming semiconductor demand, South Korea is benefiting from demand for high-bandwidth memory, and the effects travel upstream to the suppliers of advanced chipmaking equipment, including the Netherlands.

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This illustrates how AI is reshaping both trade and investment flows. Spending on data centres and computing capacity in the US drives demand for chips from Asia, which in turn requires investment in semiconductor capacity and equipment from Europe, Japan and the US. The result is an international AI investment chain, with growth increasingly flowing to the countries that hold its critical links. It also explains a good part of the surge in the US import bill: every data centre built in Texas shows up in Taiwan's export statistics.

Trade policy is the second force reshaping the chain. Export controls on advanced chips to China, tariffs and subsidy programmes such

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Evidence on AI's labour market impact remains fragmented, and the economy-wide effect is still limited. If history is any guide, fears of mass unemployment are overdone: with every major technology of past centuries, growth was strong enough to create jobs elsewhere, even as demand for some types of labour fell. But if adoption is so fast that labour demand and supply can't adjust in time, unemployment could rise temporarily.

The first cracks are showing at the entry level. In the US, job growth has remained positive but weaker in sectors with high AI exposure; evidence from the eurozone is mixed. The Dallas Fed finds that

employment among young workers in AI-exposed occupations has weakened, mainly reflecting lower hiring rather than more layoffs. According to the Stanford Digital Economy Lab, employment among 22-25-year-olds in highly exposed occupations was around 19% below where it would have been by June 2026 had it kept pace with less-exposed occupations. In China, we see similar pressures on entry-level work reflected in rising youth unemployment. The Chinese government has planned training and job replacement policies to help alleviate any negative effects of AI on employment. For developing Asia, particularly India and the Philippines where outsourcing sectors are highly exposed to AI, the

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Who pays?

Is the boom still funded from cash flows, or are hyperscalers increasingly turning to debt?

Still mostly from cash flows – but the cushion is thinning and the borrowing has begun.

The largest hyperscalers have so far paid for the AI build-out out of their own pockets, which is the biggest difference from the dotcom and railway booms. But capex is absorbing a rising share of operating cash flow, squeezing free cash flow and leaving less room for share buybacks. For companies that used to return cash to shareholders at a record pace, that is a notable shift in priorities.

Borrowing is stepping up. Several hyperscalers, such as Amazon, Alphabet, Meta, and Oracle have issued jumbo bond deals since 2025, with Oracle the most leveraged of the group. Equity markets are being tapped too: several big tech firms announced plans to raise equity in June. None of this is alarming on its own – these are

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books.

The direction of travel is clear. The boom started as a self-funded venture by the richest companies in the world. It is gradually turning into a credit story.

Leases, SPVs, private credit: how opaque has AI financing become?

More opaque than the hyperscalers' balance sheets suggest – but so far, the risk rests on some of the strongest borrowers in the world.

A growing part of AI financing is moving off balance sheet. Special purpose vehicles and joint ventures, such as Meta's Hyperion data centre financed with Blue Owl, long-term leases and GPU-backed loans allow companies to fund the build-out without the debt appearing directly on their own books. Securitisation of data centre assets through asset-backed securities and commercial mortgage-backed securities is growing as well, bringing a wider pool of investors into the game.

Leases are a particular blind spot. They are recognised as on-balance-sheet commitments only once contracts are final; until then, the extent of incremental lease liabilities is uncertain. There is a

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where risks are concentrated – and harder to judge how a shock would travel.

Looking ahead, capital may eventually become a major constraint on the AI build-out, alongside permitting and access to power. The more the industry relies on creative financing, the more it depends on investors' continued willingness to lend. Financial engineering can prolong a boom, but it can't make the returns appear.

How exposed are banks, and is private credit the shadow banking of this cycle?

Direct bank exposure looks modest; private credit is the obvious weak spot – but contagion would run through markets rather than bank failures.

Banks' direct exposure to AI looks limited. The hyperscalers fund themselves mainly through cash flow and bond markets rather than bank loans. Indirect exposure is harder to gauge: banks lend to private credit funds, data centre developers and construction firms.

Private credit is the obvious weak spot. Is it the shadow banking of this cycle? Partly. It has less of the maturity mismatch that made pre-2008 shadow banking so fragile: much of the capital is locked u
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the economy rather than through bank failures. That is less dramatic than 2008, but not harmless: a repricing of credit risk would raise funding costs far beyond tech, hitting the very non-tech investment that is already struggling.

Banks may well escape an AI bust largely unscathed. The economy they lend to may not.

Vendor financing déjà vu: should we worry when chipmakers fund their own customers?

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Worth watching, but this is not Lucent and Nortel all over again – mainly because the balance sheets are much stronger.

The dotcom precedent is uncomfortable. Lucent, Nortel and Cisco lent money to telecom start-ups so they could buy their equipment. When the customers went bust, the suppliers took the hit, and much of the reported demand turned out to have been financed by the sellers themselves.

Today, there are echoes. Chipmakers are taking stakes in AI labs and neoclouds that then buy their chips. The same handful of firms raise money, buy chips, lease compute and book revenue off one a
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travel quickly through its suppliers, landlords and investors, who are often the same companies. And they make it harder to judge how much genuine end-demand there is for AI – precisely the question on which the whole boom rests.

The test is simple: follow the money until it reaches a customer who isn't also an investor. The longer that trail gets, the more nervous we should become.

Higher Fed rates helped end the dotcom bubble. Could monetary policy or bond

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yields pop this one too?

Probably not as the trigger – but monetary policy could make any bust more painful, because the safety net is thinner than in 2001.

In 1999-2000, the Fed hiked rates to 6.5% before the dotcom bubble burst, then cut by almost five percentage points in 2001. This time, an energy shock is keeping inflation above target. Actual rate hikes and more rate hikes to come could bring both the Federal Reserve and European Central Bank closer to risky territory.

High policy rates do not necessarily stop AI investment first. If expected returns on AI remain very high, capital may keep flowing

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long-term yields would therefore hit hardest where the build-out depends most on external funding.

The bigger issue is the safety net. If the bubble bursts, central banks can't come to the rescue as aggressively as in 2001 while inflation is above target. Fiscal space is also far more limited than a quarter of a century ago.

But don't rule out a different kind of rescue. AI is not just an economic tool; it is also about power – geopolitical and technological. If things went south for the sector, some form of government support would be conceivable, from public

procurement to guarantees or targeted support for strategically important companies. The dotcom bust was left to the market. An AI bust might not be.

Monetary policy is unlikely to pop this bubble. But it could decide how hard the landing is – and Washington may decide who gets a parachute.

Bubble or not?

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uncertain long-term economics.

Then the revenue gap. Capex is running ahead of AI revenues, as it can take several years for investment to translate fully into revenues. Amazon, Microsoft and Alphabet have invested around US$600bn over 2023-25. As a rough rule of thumb, every dollar of AI infrastructure may need to generate 40-50 cents of annual revenue (assuming hyperscaler-like margins), implying US$240-300bn a year – although not all of this capex was AI-related. That looks large, but less so next to labour costs. At US$100,000 per employee, US$300bn is the cost of three million workers. AI doesn't

need to replace them: a 20% productivity gain across 15 million employees would deliver the same value. Consumers alone won't close the gap; the money has to come from enterprises.

Two caveats. Concentration: the weight of the largest tech stocks in the S&P 500 exceeds the dotcom peak, so any disappointment would hit the whole index hard. And circularity in financing and revenues makes true end-demand harder to measure.

Finally, a bubble in prices doesn't mean the technology is a dud. Railways had a bubble. So did the internet. Both still changed the world.

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a single day. Cheaper compute can raise demand – the Jevons paradox – but higher volumes can come with lower margins. That makes the profitability of AI labs such as OpenAI and Anthropic the big question mark. If it disappoints, the hardware will still be needed, but the build-out would likely slow. Nvidia's exceptionally high margins could also normalise if competition increases or the scarcity value of leading-edge compute declines.

Missing from most lists is financing: rising bond yields, a credit event at a leveraged neocloud or private credit fund, or an energy shock that keeps central banks hawkish.

Ultimately, we see the biggest risk in overcapacity. Continued innovation in chips, more efficient models and optimised algorithms could eventually create an imbalance between supply and demand, pushing down utilisation and returns. For now, though, the industry is still struggling to scale compute and secure enough power, while new business models and applications keep emerging.

There is one more way to read today's capacity commitments: as strategic entry deterrence. Announcing gigantic investment plans discourages competitors from entering the market – and some of those plans may never be fully executed if returns disappoint. That w… a s…

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A… household wealth. At 2.6 cents per dollar, that means a drop in consumer spending of around $640bn, or 2.9% of nominal consumer spending (an annualised $22.3tn in August). With wealth even more concentrated than in 2020, the multiplier is probably weaker; at 2.2 cents, the hit would be around 2.4%. That is a level effect, typically playing out over one to two years – but a big number nonetheless.

History offers some comfort: during the dotcom bust, US consumer spending barely flinched. But it could be worse this time. First, wealthy households are currently the only ones holding up

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spending; the bottom 60%, who spend roughly as many dollars as the top 20%, are squeezed by tariffs and higher fuel prices. Second, the Fed has less room to cut than in 2001. Third, the credit cushion is thinner: rising delinquencies on car loans and credit cards show stress building at lower incomes.

The good news: this is not 2008. US household debt stands at around 70% of GDP, the same as in 2001 and well below the 100% reached in 2007.

In the end, the wealth effect is the smaller channel. After the dotcom bust, business investment fell by 11% in two years. IT e
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The rates channel points in the same direction. Negative wealth effects, weaker consumption and slower US growth would eventually push the Fed towards rate cuts, narrowing interest rate differentials against the dollar. The timing would depend on inflation: with prices still running above target, the Fed may cut later than markets hope, which could limit the dollar's fall in the early stages.

Among the winners, the yen and the Swiss franc would play their traditional safe-haven role. The euro could benefit relatively, given Europe's lower exposure to both AI capex and equity wealth (4Q). A

tech crash made in America would, for once, be a reason to hold European assets rather than flee them.

The losers would be the currencies of Asian tech exporters, notably the Taiwan dollar and the Korean won, whose economies are leveraged bets on AI demand. They would come under heavy pressure, although intervention by local authorities and the legacy of huge trade surpluses would cushion the blow somewhat.

The bottom line: in an AI bust, the dollar may lose its reputation as the place to hide. Not because the world has found a better safe haven, but because this time the fire would start in the safe house.

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employment – to rebound. A bust would be a very different animal: an abrupt choking off of tech investment, similar to 2001, combined with a negative wealth effect on consumers through falling stock markets. And this time, central banks would have less room for rate cuts as inflation remains their main concern.

Which signposts should readers watch? For the boom itself, the key indicators are hyperscaler capex guidance, Taiwanese order books and lead times, and AI revenues relative to capex. Markets will focus on realised AI revenues at the large technology firms, margins on incremental revenue and how the next phase of the build-out will

be funded; figures that disappoint relative to company budgets and analysts' forecasts could trigger a sell-off.

On financing, credit spreads on AI-related debt, private credit flows and redemptions, and bond yields and term premia will show whether investors remain willing to fund the build-out. In the real economy, the questions are whether non-tech investment finally recovers, how hiring in AI-exposed sectors develops, and what productivity, grid connection and power data are telling us.

The question for 2027 isn't whether AI will change the world. It's whether anyone gets paid for it in time. If earnings fail to match s

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The opinion polls called it right with sweeping victories for the Democrats in the midterm elections. The key question is whether the president will look to secure deals or whether gridlock on the domestic front will force him to look outwards

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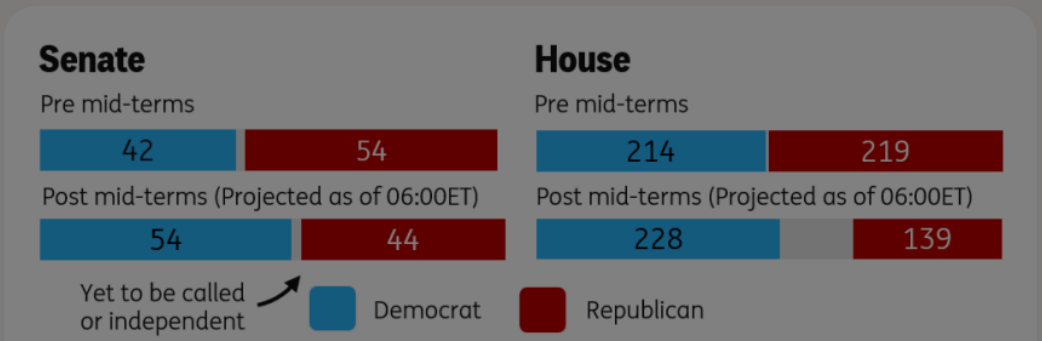
The results are in and it's a big Democratic victory

With most votes counted, it's clear the Democrats have secured a decisive victory in the US midterms, claiming majorities in both the Senate and House of Representatives. Though this outcome had become the consensus in recent weeks, the scale of the Democratic victory in the Senate in particular is noteworthy. Wins in Texas, but also in less expected states like South Carolina, Kansas and Iowa,

symbolise a major shift in American political opinion since the last election in 2024.

US midterm results (as of 06:00 ET)



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Source: New York Times, ING

Dealmaker-in-Chief or Mr Veto?

The Republican majorities in the House and Senate in the first half of Trump's presidential term allowed him to sign the One Big Beautiful Bill Act into law in July 2025. Other legislation included the Laken Riley Act, which tightened immigration and border policy, the GENIUS Act, which created a regulatory structure for stablecoins, the HALT Fentanyl Act on drugs and the TAKE IT DOWN Act on online regulation.

The obvious outcome from the result on Tuesday is that a Democrat-controlled Congress will stifle President Trump's domestic agenda in his final two years in power. A bill has to be approved by both the House and the Senate before being passed on to the president to sign or veto. With the Democrats having control of the legislative agenda in the House and Senate, the president has already warned that he will likely become "Mr Veto". The only way to overcome that would be for the Democrats to secure a two-thirds supermajority in both houses. That isn't the case after last night's results.

The consequence is that spending and tax proposals, as with most d
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October's shutdown, which depressed GDP growth in 4Q 2025 by a full percentage point. The Federal Reserve risks "flying blind" again with no government economic statistics being collated or released.

What the Democrats can seek to achieve

Key sectors of corporate America will be nervous that Democratic control of important oversight committees could bring greater scrutiny. More congressional hearings involving AI and technology business leaders would be a likely outcome, while a strong performance at the ballot box may embolden local Democratic

leaders to try to stall unpopular data centre construction in their constituencies. Fossil fuel producers may face similar challenges.

Democrats will likely feel even more confident about pushing back against President Trump's policies on Iran, support of Israel and any escalation of tariffs. They may apply more pressure on the president to sound tougher towards Russia and to provide support to Ukraine, but the final call will remain with the president.

Investigations into President Trump, his family and members of his administration may also be stepped up as Democrats exercise their greater powers. Inquiries into finances and business dealings could re
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What will the president do?

A key question is whether a constrained President Trump, entering the final phase of his tenure, becomes more willing to accept political or market disruption in pursuit of his objectives.

If there is little sense of any compromise, the ensuing gridlock in Congress would leave the president to focus on areas where he can exercise executive power: 1) foreign policy and diplomacy, including trade policy, 2) national security and defence, 3) law enforcement and regulatory policy, 4) personnel appointments (subject to Senate approval), and 5) administration and management policy.

This suggests Iran, Russia/Ukraine and tariffs/trade policy are likely to be the focus for the president. Tariff policy could increasingly be used to incentivise foreign partners to align with US foreign policy objectives, for example by pressuring NATO members to increase defence spending.

More fundamentally, heavy defeats in the House and Senate will be interpreted as a referendum on President Trump's policies and potentially prompt figures within the Republican Party to take the view that it is time to open the debate on its future direction. With Trump's influence set to fade, leading lights within the party, most notably JD Vance and Marco Rubio, may attempt to shore up

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marginal, given the risk that tariffs also push inflation higher. Overall, we retain a bias towards the 10-year yield heading towards 5.25%.

The dollar is softer on the outcome, though it has recovered from its lows seen in early Asia when a sharp fall in Nasdaq futures was warning of a larger re-pricing of the tech story. Nasdaq futures have since retraced the majority of those losses. Limiting a larger dollar correction on this news is probably a still-resilient US economy and at least one more rate hike from the Federal Reserve. The dollar could see a little more weakness into 2027, however, if an

emboldened Democratic Party takes greater issue with Republican policy, including deregulation and the AI build-out. And the potential for a prolonged government shutdown in mid-2027 adds to the case for a weaker dollar next summer.

What it means for Europe and China

With the outcome of the vote limiting President Trump's options at home, he is likely to focus more heavily on foreign and trade policy. The result could be greater volatility and uncertainty for the global economy.

This will clearly affect Europe. A forced deal between Russia and U
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the president's patience and slow the pace of defence spending increases, particularly given their own fiscal constraints. Alternatively, and less likely, a stifled but less angry Trump administration could try to bring the wars in Iran and Ukraine to an end. Constrained by Congress and the Supreme Court on trade, it could ultimately, intentionally or otherwise, end up indirectly supporting the European economy.

China's main response will be to wait and see, as it will react to actual policy changes rather than the shifts within Congress. The

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main potential trigger points would be Taiwan arms sales, tariffs and other trade/investment restrictions.

Personal ties between the two leaders appear good, but with President Trump's policy focus being channelled towards foreign and trade policy, China could end up in the crosshairs again. The trade truce is set to expire in January, and it seems like both sides are not interested in going back to the mutually destructive peak tariff scenario we had in 2025, but it cannot be ruled out. As with Europe, if Trump appears weakened by the outcome of the midterms, China could sense that it is time to start looking beyond 2028, triggering a revaluation of its long-term US strategy.

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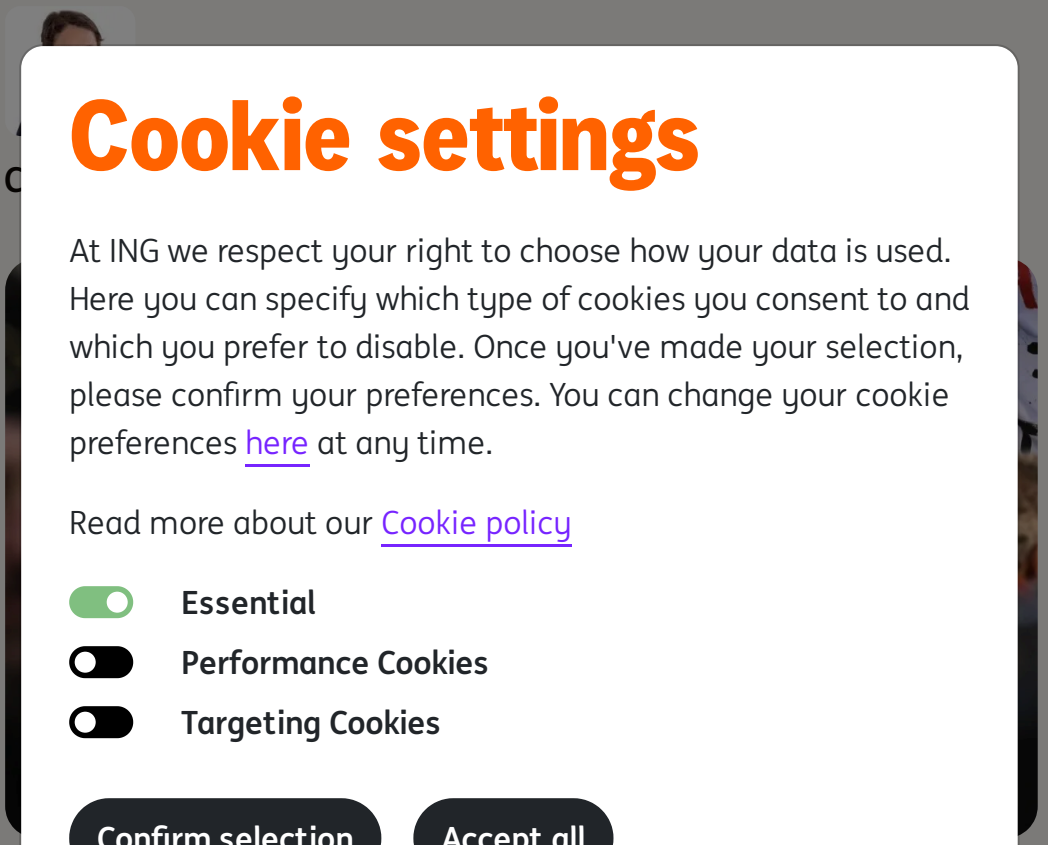
Thursday's nationwide mobilisation over wages and purchasing power will add pressure on a French government already struggling with weak growth, a fragile labour market and an increasingly unmanageable budget. Its options for responding to social discontent are narrowing as higher borrowing costs further weaken the outlook for public debt



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Pressure mounts for action on purchasing power

What began as a student-led protest has grown into a broader social movement, adding to the government's challenges as it struggles to get its 2027 budget through parliament.

The mobilisation continued during the school holidays, with between 320,000 and 500,000 people taking to the streets last Saturday, fewer than in previous weeks but hardly the pause the

government had hoped for. The next test will come on Thursday, 5 November, when all the main trade unions will mobilise over wages and purchasing power, with students and public sector workers expected to join the protests.

Under pressure, the government is considering raising the minimum wage by more than the automatic increase of around 1% due in January, possibly adding another 0.5 to 0.6 percentage points. This would be the first discretionary increase since 2012. But employers are strongly opposed, as they are already facing higher labour costs through planned cuts to social contribution exemptions. A further rise in the minimum wage could therefore e
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Budget talks are producing a larger deficit, not a solution

These pressures are making an already difficult budget equation even harder to solve. After 10 full days of debate and more than 2,300 amendments examined, France's 2027 budget discussions appear to be going nowhere, except towards a larger deficit than the government intended. While the government aims to reduce the deficit to 5% of GDP in 2027, after an expected 5.4% in 2026, the measures approved so far have pushed it substantially further off course. According to the Finance Ministry, the amendments adopted during the first reading have already worsened the

projected deficit by €23.9bn (total deficit in 2026 will be around €165bn).

The vote on the revenue part has been postponed again, as MPs continue to adopt measures pointing in all directions. Yet the exercise increasingly makes little sense: the fragmented National Assembly is unlikely to approve the budget, leaving the government with two possible escape routes. It could use Article 49.3 to pass the bill without a vote, but would first need to negotiate with parts of the opposition to ensure that a subsequent no-confidence motion fails. For now, there are few signs of such talks. If the motion passed, the government would fall and the b
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hovering close to recession.

The details of the third-quarter figure were also weak: investment fell by 0.6% and net trade subtracted 0.6 percentage points from growth as exports dropped sharply, while inventories provided a temporary offset. The only real positive surprise came from household consumption, which rose by 0.4%. But there is little reason to expect this momentum to last. Consumer confidence fell by five points to 80 in October, its lowest level since June 2013 and well below its long-term average of 100. Households' assessment of whether this is a good time to make major purchases dropped

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sharply, while fears of unemployment increased. Most strikingly, their assessment of living standards fell to its lowest level since the survey began in October 1972. This points to much weaker consumption in the coming months.

The outlook for investment is equally weak. Financing conditions are deteriorating particularly sharply in France: according to the latest ECB Bank Lending Survey, a net 27% of French banks tightened credit standards for businesses in the third quarter, compared with around 8% in Germany, no tightening in Spain and an easing in Italy. Together with weak demand, higher interest rates and uncertainty over taxes and public spending, this is likely t

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uncomfortable. The government had expected public debt to reach 121.7% of GDP in 2027, already a level at which a 5% deficit would be insufficient to stabilise the debt ratio. With growth now likely to be weaker and the deficit higher than assumed in the budget, debt will probably rise even further, and there is little prospect of stabilisation anytime soon.

The sharp rise in borrowing costs only makes the arithmetic worse. The French 10-year yield is currently around 4.9%, more than 155bp above its German equivalent, compared with a spread of around 70bp at the end of 2025. Admittedly, the increase in market

yields feeds only gradually into the effective cost of the debt as existing bonds mature: the implicit interest rate on French public debt is still around 2.2% in 2026. But this also means that a substantial part of the rise in interest costs has yet to come through. Fitch estimates that France would need to reduce its primary deficit from around 2.9% of GDP this year to just 0.4% to stabilise the debt ratio. The adjustment required would become considerably larger if the effective interest rate on the debt gradually converged towards current market yields.

And the 2027 presidential election is unlikely to provide an easy reset. A new president could again find her or himself without a

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simultaneously easing the pressure on the public finances, the government has very limited room to offer measures large enough to make a meaningful difference without making an already worrying fiscal trajectory even worse.

Strikes | Public finances | GDP | France | Eurozone | Deficit

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